CITY OF PORTLAND, TENNESSEE

ANNUAL FINANCIAL REPORT

JUNE 30, 2024

CITY OF PORTLAND, TENNESSEE

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CITY OF PORTLAND, TENNESSEE

ROSTER OF PUBLICLY ELECTED AND APPOINTED OFFICIALS

JUNE 30, 2024

PUBLICLY ELECTED OFFICIALS

Mike Callis	Mayor
Andrew Jennings	Vice-Mayor
Penny Barnes	Alderwoman
Mike Hall	Alderman
LaToya Holcolm	Alderwoman
Jody McDowell	Alderman
Megann Thompson	Alderwoman
Brian Woodall	Alderman

APPOINTED OFFICIALS

Rachel Slusser	CMFO/Finance Director/City Recorder
John R. Bradley	City Attorney
Joseph B. (Jack) Freedle	City Judge

AUDIT COMMITTEE

Andrew Jennings

Kim Delaney, CPA

Sonja Schuette, CPA

WICKBERG ACCOUNTING, PLLC
111 E. Commerce Street
Lewisburg, Tennessee 37091
Office: 931-422-7122

INDEPENDENT AUDITOR'S REPORT

To the Honorable Mayor
And Board of Aldermen
City of Portland, Tennessee

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Portland, Tennessee, as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the City of Portland, Tennessee's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Portland, Tennessee, as of June 30, 2024, and the respective changes in financial position, and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund and airport fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City of Portland, Tennessee and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City of Portland, Tennessee's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City of Portland, Tennessee's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City of Portland, Tennessee's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Portland, Tennessee's basic financial statements. The supplementary information is presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and management's corrective action plan but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2024, on our consideration of the City of Portland, Tennessee's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City of Portland, Tennessee's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City of Portland, Tennessee's internal control over financial reporting and compliance.

Wickberg Accounting, PLLC

Lewisburg, Tennessee
December 13, 2024

CITY OF PORTLAND, TENNESSEE

MANAGEMENT'S DISCUSSION AND ANALYSIS

FOR THE YEAR ENDED JUNE 30, 2024

As management of the City of Portland, Tennessee (the "City" or the "City of Portland"), we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City of Portland for the fiscal year ended June 30, 2024. This analysis focuses on significant financial position, budget changes and variances from the budget, and specific issues related to funds. Please consider the information presented here in conjunction with the City's financial statements.

Financial Highlights

- The assets of the City of Portland exceeded its liabilities at the close of the most recent fiscal year by $99,624,774 (net position). Of this amount, $28,509,596 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors.

- The City's total net position increased by $7,339,262 inclusive of prior period adjustments. Changes totaling an increase of $2,403,589 within the business-type activities and an increase of $4,935,673 within the governmental activities.

- As of the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of $12,479,147, a small increase in comparison with the prior year's total of $12,468,476. Approximately 53% of this total amount is available for spending at the government's discretion (unassigned fund balance).

- At the end of the current fiscal year, unassigned fund balance for the general fund was $6,745,811.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the City of Portland's basic financial statements The City's basic financial statements consist of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

Government-wide financial statements: The *government-wide financial statements* are designed to provide readers with a broad overview of the City of Portland's finances, in a manner similar to a private-sector business.

The government-wide financial statements are:

- **Statement of Net Position** – presents information on all of the City of Portland's assets and deferred outflows and liabilities and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City of Portland is improving or deteriorating.

- **Statement of Activities** – presents information showing how the City's net position changed during the most recent fiscal year. All current year revenues and expenses are taken into account regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g. uncollected tax and earned but unused vacation leave).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities of the City of Portland include general government, planning, codes, police, fire, highways and streets, recreation, animal control, city engineering, community development, sanitation, storm water, golf course, and the airport authority. The business-type activities of the City of Portland include the water, sewer and natural gas operations.

The government-wide financial statements can be found on pages 13 and 14 of this report.

Fund financial statements: A fund is a group of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City of Portland, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City of Portland can be divided into three categories: governmental funds, proprietary funds and fiduciary funds.

Governmental funds – Governmental funds are used to account for essentially the same functions reported as *governmental activities* in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on *near-term inflows and outflows of spendable resources*, as well as on *balances of spendable resources* available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for *governmental funds* with similar information presented for *governmental activities* in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balance provide a reconciliation to facilitate this comparison between *governmental funds* and *governmental activities*.

The City of Portland maintains eight governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statements of revenues, expenditures, and changes in fund balances for the general fund and airport authority which are considered major funds. Data for the other governmental funds are combined into a single, aggregate presentation, as nonmajor governmental funds. Individual fund date for each of these non-major governmental funds is provide in the form of combining statements elsewhere in this report.

The City adopts an annual appropriated budget for its general fund, airport authority fund, drug fund, impact fee fund, industrial loan fund, storm water fund, golf course fund and solid waste fund. A budgetary comparison statement has been provided for the major funds to demonstrate compliance with this budget. The other budgetary comparisons are in the combing and individual nonmajor fund statements and schedules of the report.

Proprietary funds – There are two types of proprietary funds. *Enterprise funds* are used to report the same functions presented as *business-type activities* in the government-wide financial statements. The City of Portland uses enterprise funds to account for activities in its Water and Sewer Fund and Natural Gas Fund.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide information for the Water and Sewer Fund and the Natural Gas Fund which are considered to be major funds of the City of Portland.

The basic proprietary fund financial statements can be found on pages 28-30 of this report.

Fiduciary funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statement because the resources of those funds are not available to support the City of Portland's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds. The City of Portland has one fiduciary fund which can be found on page 31.

Notes to the financial statements: The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 32 – 66 of this report.

Other information: In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information. The City of Portland's progress in funding its obligation to provide pension and OPEB benefits to its employees is presented. Required supplementary information can be found on pages 67 – 71 of this report.

Supplementary Information: In addition to the basic financial statements and accompanying notes, this report also presents supplementary schedules required by the Comptroller of the State of Tennessee on pages 72-86.

Government-wide Financial Analysis (The City as a Whole)

Net Position: Net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Portland, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $99,633,930 as of June 30, 2024, an increase of 8%, from last year.

The largest portion of the City of Portland's net position (69%) reflects its investments in capital assets (e.g., land, infrastructure, buildings, machinery, and equipment) less any related debt used to acquire those assets that are still outstanding. The City of Portland uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City of Portland's investment in capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

At the end of the current fiscal year, the City of Portland reports a positive balance in both of the governmental and business-type activity categories of net position.

During the current fiscal year, the government's net position increased by $7,339,262 (inclusive of prior period adjustments). This increase is approximately 7% of total net position. Of this $7,339,262 increase, the governmental activities increased $2,403,589 and the business-related activities increased $4,935,673.

Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total	
	2024	**2023**	**2024**	**2023**	**2024**	**2023**
Current and other assets	$22,191,757	$18,439,348	$ 21,634,501	$ 28,332,930	$ 43,826,258	$ 46,772,278
Capital Assets	42,418,026	41,611,754	65,075,568	54,782,563	107,493,594	96,394,317
Total Assets	64,609,783	60,051,102	86,710,069	83,115,493	151,319,852	143,166,595
Deferred Outflows of resources	2,396,632	2,276,195	1,184,616	1,129,234	3,581,248	3,405,429
Long-term liabilities outstanding	11,995,524	11,098,617	29,382,863	30,299,878	41,378,387	41,398,495
Other liabilities	1,027,706	951,425	5,501,963	5,765,200	6,529,669	6,716,625
Total Liabilities	13,023,230	12,050,042	34,884,826	36,065,078	47,908,056	48,115,120
Deferred inflows of resources	7,052,789	5,750,448	315,481	420,944	7,368,270	6,171,392
Net position:						
Net investment in capital assets	32,222,886	31,788,198	36,463,253	25,069,186	68,686,139	56,857,384
Restricted	2,429,039	2,354,789	-	854	2,429,039	2,355,643
Unrestricted	12,278,471	10,383,820	16,231,125	22,688,665	28,509,596	33,072,485
Total Net Position	$46,930,396	$44,526,807	$ 52,694,378	$ 47,758,705	$ 99,624,774	$ 92,285,512

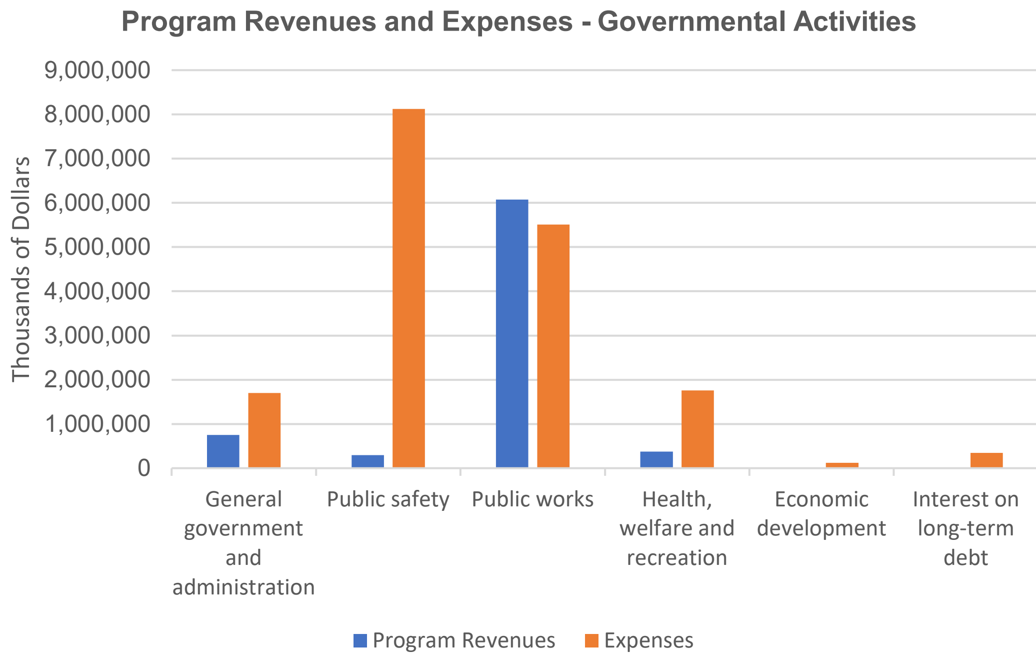
Condensed Statement of Changes in Net Position

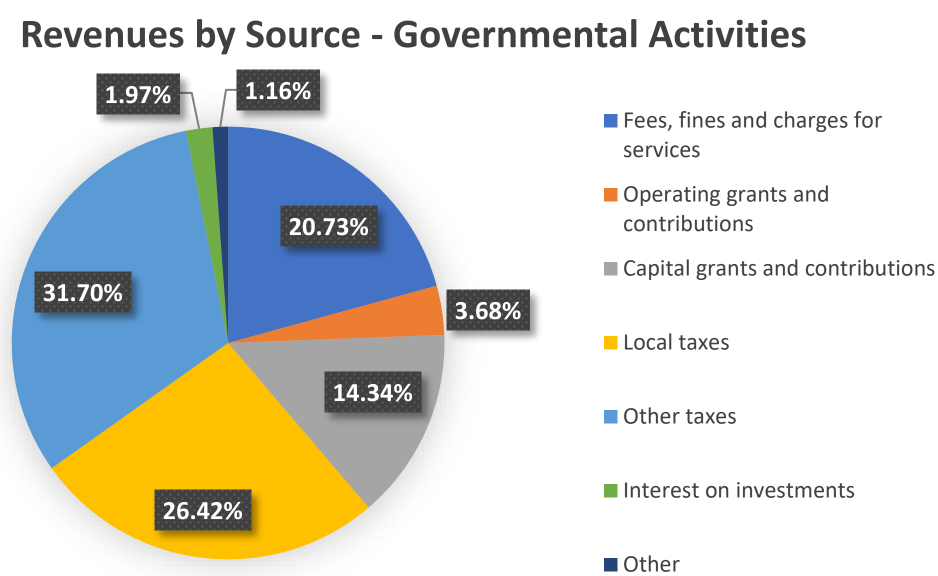
	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Revenues						
Program Revenes:						
Fees, fines and charges for services	$ 4,016,215	$ 5,589,144	$ 17,444,980	$ 17,271,037	$ 21,461,195	$ 22,860,181
Operating grants and contributions	712,034	547,084	568,191	18,399	1,280,225	565,483
Capital grants and contributions	2,778,382	5,978,484	986,936	202,638	3,765,318	6,181,122
General Revenues						
Property taxes	5,118,491	5,324,572	-	-	5,118,491	5,324,572
Other taxes	6,141,056	6,011,234	-	-	6,141,056	6,011,234
Interest on investments	381,167	44,978	734,920	128,160	1,116,087	173,138
Other	224,161	164,913	121,952	34,019	346,113	198,932
Total revenues	19,371,506	23,660,409	19,856,979	17,654,253	39,228,485	41,314,662
Expenses						
General government and administration	1,700,849	1,584,260	-	-	1,700,849	1,584,260
Public safety	8,122,056	7,398,715	-	-	8,122,056	7,398,715
Public works	5,507,021	4,918,439	-	-	5,507,021	4,918,439
Health, welfare and recreation	1,760,819	1,616,661	-	-	1,760,819	1,616,661
Economic development	124,199	105,491	-	-	124,199	105,491
Interest on long-term debt	346,064	356,579	-	-	346,064	356,579
Water and Sewer	-	-	9,192,650	8,193,329	9,192,650	8,193,329
Natural Gas	-	-	5,156,130	6,415,876	5,156,130	6,415,876
Total expenses	17,561,008	15,980,145	14,348,780	14,609,205	31,909,788	30,589,350
Changes in net position before transfers	1,810,498	7,680,264	5,508,199	3,045,048	7,318,697	10,725,312
Transfers	419,693	358,605	(419,693)	(358,605)	-	-
Gain/loss from sale of capital assets	60,377	(121,962)	7,912	2,037	68,289	(119,925)
Change in net position	2,290,568	7,916,907	5,096,418	2,688,480	7,386,986	10,605,387
Net position at beginnng of year, as originally reported	44,526,807	36,724,194	47,758,705	44,935,289	92,285,512	81,659,483
Prior period adjustments	113,021	(114,294)	(160,745)	134,936	(47,724)	20,642
Net position at beginnng of year, as restated	44,639,828	36,609,900	47,597,960	45,070,225	92,237,788	81,680,125
Net position at end of year	$ 46,930,396	$ 44,526,807	$ 52,694,378	$ 47,758,705	$ 99,624,774	$ 92,285,512

Governmental Activities: Current fiscal year revenues for the City's governmental activities were $19,371,506 compared to $23,660,409 last year. Expenses for the same period were $17,561,008 compared $15,980,145 last year.

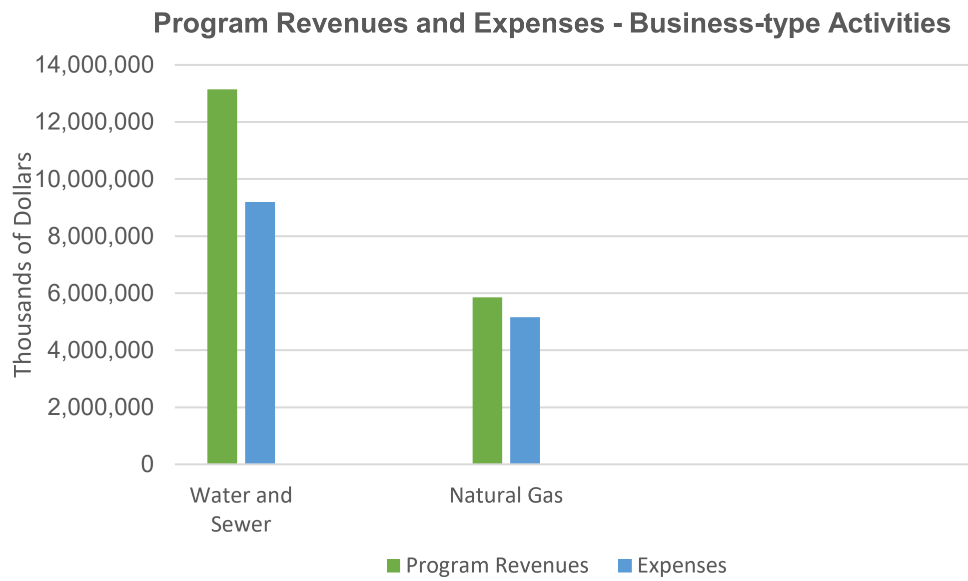
General and program revenue experienced a mixture of increases and decreases for the year; most notable of which are discussed below.

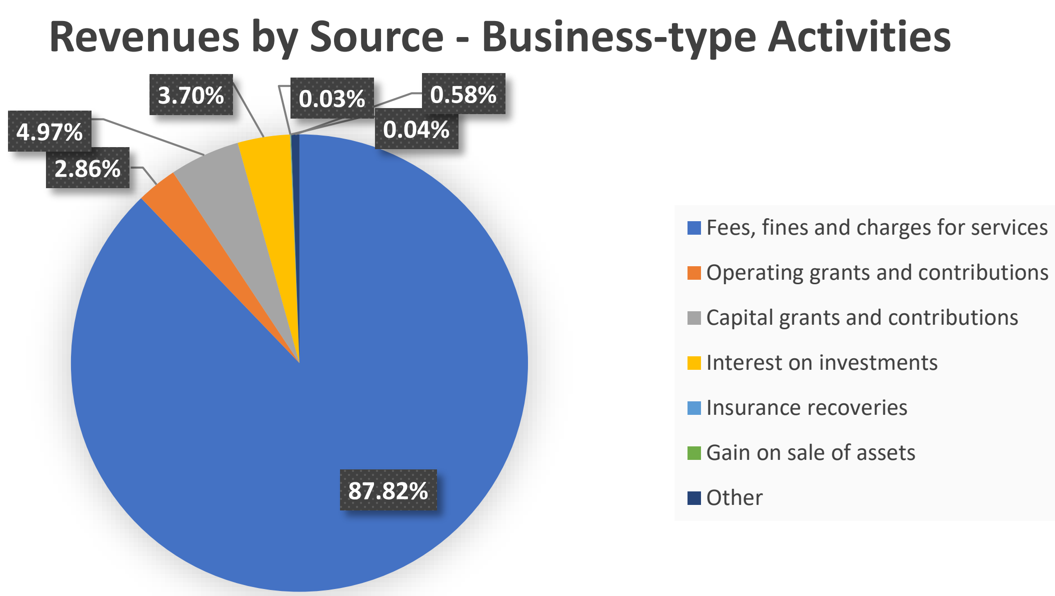
- The Governmental Activities had increased grant contributions during the prior year. This is primarily due to the airport grant and the ARPA grant.





Business-type activities: Business-type activities increased the City's net position by $4,935,673 inclusive of prior period adjustment. Charges for services increased from prior year by $173,943, operating grants and contributions increased by $549,792, capital grants and contributions increased by $784,298 and expenses were $260,425 less than the previous year.


Program Revenues and Expenses - Business-type Activities
14,000,000
12,000,000
10,000,000
8,000,000
6,000,000
4,000,000
2,000,000
0
Thousands of Dollars
Water and Sewer
Natural Gas
Program Revenues
Expenses


Revenues by Source - Business-type Activities
3.70%
0.03%
0.58%
4.97%
0.04%
2.86%
87.82%
Fees, fines and charges for services
Operating grants and contributions
Capital grants and contributions
Interest on investments
Insurance recoveries
Gain on sale of assets
Other

Financial Analysis of the Government's Funds

The following provides a more detailed analysis of the City's funds.

Governmental funds: The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements.

At the end of the current fiscal year, the City's governmental funds reported combined ending fund balances of $12,479,147, an increase of $10,671 (inclusive of prior period adjustment).

The General Fund is the chief operating fund of the City. At the end of the current fiscal year, unassigned fund balance of the General Fund was $6,745,811, while total fund balance reached $10,233,283.

Proprietary Funds: The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail.

The Water and Sewer Fund had an increase in net position of $4,183,013 (inclusive of prior period adjustment of $169,419 described in Note 4.G.) as compared to an increase in the prior year of $2,067,974. Factors affecting this amount include:

- The Water and Sewer Fund had increases in charges for services of $1,755,222.

The Natural Gas Fund had an increase in net position of $752,660 (inclusive of prior period adjustment in Note 4.f.) for the year compared to an increase of $755,442 in the prior year.

General Fund Budgetary Highlights

The City had various amendments to the budget during the year.

Capital Asset and Debt Administration

Capital assets: At the end of the current fiscal year, the City had $107,793,594 (net of accumulated depreciation) invested in capital assets for its governmental and business-type activities. This investment in capital assets includes land, buildings, improvements, equipment, vehicles, construction in progress and other infrastructure. The total increase in the City's investment in capital assets for the current fiscal year was $11,099,277. Depreciation expense for the year was $4,061,112. Additional information on capital assets is in Note 3.C.

Debt: At the end of the current fiscal year, the City had total debt outstanding of $37,124,516. Of this amount, $10,043,383 belongs to the Governmental Funds and $27,081,133 belongs to the Enterprise Fund – Water and Sewer Fund. Additional information on debt is in Note 3.E.

Economic Factors and Other Matters

The unemployment rate for the City of Portland is currently 2.4% compared to the State unemployment rate of 3.1% and the national rate of 3.9%. Unemployment rates are leveling after the COVID unemployment spike. According to the U.S. Census Bureau, Portland's population is 13,156 for the 2020Census.

The Portland Airport continues to seek federal and state grant programs to enhance the airport. Realizing the benefit of air service in the northern part of the county, Sumner County provides an annual allocation of funds to partner with Portland on Airport projects. The completion of various major projects at the airport and the current additional on-going enhancements will provide more opportunities for service to our local industries and citizens. The improved airport is a strong attraction for prospective industries to our city.

Portland's economy continues to thrive, supported by a robust industrial sector and strategic location. With its close proximity to I-65, Portland is ideally positioned for manufacturing and distribution, enabling quick and efficient product access to markets. Over 7,000 people are employed across more than 12 million square feet of industrial space spanning 1,200+ acres. New projects are also underway, including plans for additional industrial buildings in the Robertson County Industrial Park, while eight industrial spaces are currently available for lease or purchase. Several companies anticipate adding over 100 new jobs in the coming year.

Portland also benefits from a skilled, trainable workforce supported by the Portland Campus of the Tennessee College of Applied Technology (TCAT). TCAT offers specialized programs in Computer Operating Systems, Cosmetology, Industrial Maintenance/Mechatronics, Machine Tool Technology, Electrical Systems, and Welding Technology, all of which align with local industry needs. TCAT collaborates closely with businesses to offer tailored training, and the Middle College curriculum is helping high school students graduate with certifications to enter the workforce.

Interest from developers, investors, and retailers in Portland is on the rise. With over 1,700 approved single-family homes in development and a new apartment complex leasing units since mid-year, Portland's residential growth is accelerating. Several new small businesses have recently opened and are thriving. While Highway 109 remains the main retail corridor, increased interest along Highway 52 West has brought plans for new establishments, including Scooters Coffee and Waffle House, both expected to break ground by year-end. Additionally, the state's purchase of the right-of-way for the Highway 109 bypass signals future infrastructure enhancements, with construction projected to begin in fall 2025.

The City completed a bond issue in August 2015 of over $7.4 million and an additional bond issue in 2020 for $3.8 million for a building program to include two fire halls, (one on the north side of town at the mouth of the interchange tie into 109 and a joint project with the Sumner County EMS on the south side of town), a City Hall, renovation of the Police Station, and several parks improvements. The City Hall renovation project was completed in March 2021. The Police Station renovation project, road projects and Park related projects are still on-going.

The collaborative effort between City Leaders, City Staff, and the Community provided the finish of the Parks Master Plan in 2022. The Parks Master Plan allowed Portland to apply for a Local Park and Recreation Grant from the State of Tennessee. Portland was awarded a $1,586,800 grant for a new splash pad at Richland Park and for a new irrigation system at Dogwood Hills Golf Course. The City is matching the grant amount for a total project amount of $3,173,600. Construction is expected to be completed in the Summer of 2025.

The City continues to make improvements to the water and wastewater system. Several projects are still on-going with completion expected of the Phase II Wastewater Plant expansion in the Fall of 2024. From a competitive grant, the City of Portland, City of Gallatin, Westmoreland, and Castalian Springs/Bethpage Water District received $19 million from TDEC with an additional $9 million from Sumner County to aid in the construction of a new water infrastructure to secure a secondary water source for Portland.

Requests for Information

This financial report is designed to provide our citizens, taxpayers, customers, and investors and creditors with a general overview of the City's finances and to show the City's accountability for the money it receives. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to:

City Recorder
City of Portland, Tennessee
100 South Russell St.
Portland, TN 37148

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION
JUNE 30, 2024

	Primary Government		
	Governmental Activities	Business-type Activities	Total
ASSETS			
Cash and cash equivalents:			
Unrestricted	$ 8,819,486	$ 12,585,199	$ 21,404,685
Restricted	4,846,793	4,952,849	9,799,642
Investments	-	1,056,203	1,056,203
Receivables			
Property taxes	6,624,528	-	6,624,528
Other governments	742,782	-	742,782
Grants receivable	544,283	80,876	625,159
Customers	156,186	1,022,566	1,178,752
Interest receivable	-	8,361	8,361
Others	65,261	480,661	545,922
Internal balances	(2,867)	2,867	-
Inventory of supplies	103,556	1,422,607	1,526,163
Net pension asset	-	-	-
Amounts held in escrow	269,028	-	269,028
Prepaid expenses	22,721	22,312	45,033
Capital assets, being depreciated, net	8,815,578	17,830,716	26,646,294
Capital assets, not being depreciated	33,602,448	47,244,852	80,847,300
TOTAL ASSETS	64,609,783	86,710,069	151,319,852
DEFERRED OUTFLOWS OF RESOURCES			
OPEB plan	354,387	175,332	529,719
Deferred charge on refunding of debt	-	36,255	36,255
Pension plans	2,042,245	973,029	3,015,274
TOTAL DEFERRED OUTFLOWS OF RESOURCES	2,396,632	1,184,616	3,581,248
LIABILITIES			
Accounts payable	655,086	943,759	1,598,845
Accrued liabilities	263,462	73,686	337,148
Accrued interest	78,323	218,586	296,909
Unearned revenues	30,835	3,632,165	3,663,000
Retainage payable	-	570,259	570,259
Accrued payroll	-	63,508	63,508
Noncurrent liabilities:			
Net pension liability	350,683	110,302	460,985
Total OPEB liability	1,087,698	538,171	1,625,869
Compensated absences	362,003	122,075	484,078
Due within one year	280,000	1,002,468	1,282,468
Due in more than one year	9,915,140	27,609,847	37,524,987
TOTAL LIABILITIES	13,023,230	34,884,826	47,908,056
DEFERRED INFLOWS OF RESOURCES			
Unavailable revenues - property taxes	6,413,656	-	6,413,656
OPEB plan	598,576	296,157	894,733
Pension plan	40,557	19,324	59,881
TOTAL DEFERRED INFLOWS OF RESOURCES	7,052,789	315,481	7,368,270
NET POSITION			
Net investment in capital assets	32,222,886	36,463,253	68,686,139
Restricted for:			
Airport	182,760	-	182,760
Golf course	62,411	-	62,411
Solid waste	715,819	-	715,819
Stormwater	468,066	-	468,066
Drug enforcement	60,295	-	60,295
E-Citation fund	8,910	-	8,910
Impact fee	688,967	-	688,967
Streets and highways	241,811	-	241,811
Unrestricted	12,278,471	16,231,125	28,509,596
TOTAL NET POSITION	$ 46,930,396	$ 52,694,378	$ 99,624,774

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2024

		Program Revenues			Net (Expense) Revenues and Changes in Net Position		
					Primary Government		
Functions/Programs	**Expenses**	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**	**Governmental Activities**	**Business-type Activities**	**Total**
Primary government:							
Governmental activities:							
General government	$ 1,700,849	$ 730,467	$ 23,823	$ -	$ (946,559)	$ -	$ (946,559)
Public safety	8,122,056	148,705	90,547	58,771	(7,824,033)	-	(7,824,033)
Public works	5,507,021	2,759,601	597,664	2,719,611	569,855	-	569,855
Health, welfare, and recreation	1,760,819	377,442	-	-	(1,383,377)	-	(1,383,377)
Economic development	124,199	-	-	-	(124,199)	-	(124,199)
Interest on long-term debt	346,064	-	-	-	(346,064)	-	(346,064)
Total governmental activities	17,561,008	4,016,215	712,034	2,778,382	(10,054,377)	-	(10,054,377)
Business-type activities:							
Water and sewer	9,192,650	11,594,760	568,191	986,936	-	3,957,237	3,957,237
Natural gas	5,156,130	5,850,220	-	-	-	694,090	694,090
Total business-type activities	14,348,780	17,444,980	568,191	986,936	-	4,651,327	4,651,327
Total primary government	$ 31,909,788	$ 21,461,195	$ 1,280,225	$ 3,765,318	(10,054,377)	4,651,327	(5,403,050)
General Revenues							
Property taxes					5,118,491	-	5,118,491
Sales and use taxes					5,598,480	-	5,598,480
In lieu of taxes					195,683	-	195,683
Business taxes					264,577	-	264,577
Public service taxes					82,316	-	82,316
Investment earnings					381,167	734,920	1,116,087
Insurance recoveries					46,076	6,781	52,857
Gain (loss) on sale of assets					60,377	7,912	68,289
Other					178,085	115,171	293,256
Transfers					419,693	(419,693)	-
Total general fund revenues and transfers					12,344,945	445,091	12,790,036
Change in net position					2,290,568	5,096,418	7,386,986
Net position at beginning of year, as originally stated					44,526,807	47,758,705	92,285,512
Prior period adjustment					113,021	(160,745)	(47,724)
Net position at beginning of year, as restated					44,639,828	47,597,960	92,237,788
Net position at end of year					$ 46,930,396	$ 52,694,378	$ 99,624,774

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2024

ASSETS	**General**	**Airport Fund**	**Other Governmental Funds**	**Total**
Cash and cash equivalents	$ 6,241,531	$ 167,374	$ 2,410,581	$ 8,819,486
Restricted cash and cash equivalents	3,132,806	1,713,987	-	4,846,793
Taxes receivable	6,624,528	-	-	6,624,528
Accounts receivable, net of uncollectible	-	-	156,186	156,186
Due from other governments	742,782	-	-	742,782
Grants receivable	312,920	13,400	217,963	544,283
Other receivables	65,261	-	-	65,261
Inventory	46,475	28,328	28,753	103,556
Due from other funds	430,453	-	85	430,538
Amounts held in escrow with the State	258,736	10,292	-	269,028
Prepaid insurance	15,914	6,291	516	22,721
Total assets	$ 17,871,406	$ 1,939,672	$ 2,814,084	$ 22,625,162
LIABILITIES				
Accounts payable	$ 562,808	$ 30,327	$ 61,951	$ 655,086
Accrued liabilties	239,791	2,285	21,386	263,462
Unearned revenue	1,750	9,925	19,160	30,835
Due to other funds	2,497	388	430,520	433,405
Total liabilities	806,846	42,925	533,017	1,382,788
DEFERRED INFLOWS OF RESOURCES				
Deferred grant	206,749	1,713,987	217,963	2,138,699
Unavailable revenues - property taxes	6,624,528	-	-	6,624,528
Total deferred inflows of resources	6,831,277	1,713,987	217,963	8,763,227
FUND BALANCE				
Nonspendable				
Inventory	46,475	28,328	28,753	103,556
Prepaids	15,914	6,291	516	22,721
Restricted				
State Street Aid	241,811	-	-	241,811
Airport	-	148,141	-	148,141
Solid waste collection	-	-	692,621	692,621
Stormwater	-	-	467,550	467,550
Drug fund	-	-	60,295	60,295
E-citation	-	-	8,910	8,910
Golf course	-	-	56,856	56,856
Impact fees	-	-	688,967	688,967
Debt service	-	-	58,636	58,636
Committed				
Cable	14,028	-	-	14,028
Police	4,241	-	-	4,241
Capital projects	201,624	-	-	201,624
SRO	7,103	-	-	7,103
Industrial development	56,071	-	-	56,071
Development projects	1,907	-	-	1,907
Assigned				
Assigned for projects	2,898,298	-	-	2,898,298
Unassigned	6,745,811	-	-	6,745,811
Total fund balances	10,233,283	182,760	2,063,104	12,479,147
Total liabilities, deferred inflows, of resources, and fund balances	$ 17,871,406	$ 1,939,672	$ 2,814,084	$ 22,625,162

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
RECONCILIATION OF BALANCE SHEET OF THE GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2024

Total fund balance - total governmental funds		$ 12,479,147
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not current financial resources and therefore are not reported in the governmental funds balance sheet.		42,418,026
Other long-term assets are not available to pay for current-period expenditures and, therefore, are not deferred in the funds.		210,872
Deferred grant revenues on the governmental fund statements that is recognized as income on the government-wide statements		2,138,699
Liabilities for accrued interest are not due and payable currently and not recorded in the governmental funds		(78,323)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported in the funds:		
Long-term debt payable	(10,195,140)	
Compenstated absences	(362,003)	
Net pension liability	(350,683)	
Deferred outflows of resources - pension	2,042,245	
Deferred inflows of resources - pension	(40,557)	
Total OPEB obligations	(1,087,698)	
Deferred outflows of resources - OPEB	354,387	
Deferred inflows of resources - OPEB	(598,576)	
		(10,238,025)
Net postion of governmental activities		$ 46,930,396

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED JUNE 30, 2024

	General Fund	Airport Fund	Other Governmental Funds	Total Governmental Funds
Revenues				
Taxes	$ 9,486,182	$ -	$ -	$ 9,486,182
Intergovernmental	2,898,191	503,850	-	3,402,041
License and permits	591,949	-	-	591,949
Fines, fees and forfeitures	128,628	-	135,242	263,870
Charges for services	21,916	369,365	2,747,685	3,138,966
Miscellaneous	373,089	61,093	112,039	546,221
Total revenues	13,499,955	934,308	2,994,966	17,429,229
Expenditures				
General government	1,546,075	-	-	1,546,075
Public safety	7,611,685	-	24,008	7,635,693
Public works	1,785,987	510,602	2,185,769	4,482,358
Health, welfare, and recreation	1,020,354	-	507,631	1,527,985
Economic development	124,780	-	-	124,780
Debt service	-	-	839,543	839,543
Capital outlay	1,823,339	466,625	548,975	2,838,939
Total expenditures	13,912,220	977,227	4,105,926	18,995,373
Revenues Over (Under) Expenditures	(412,265)	(42,919)	(1,110,960)	(1,566,144)
Other financing sources and (uses)				
Transfers in	417,371	106,000	1,158,229	1,681,600
Transfer out	(1,264,229)	-	-	(1,264,229)
Sale of general capital assets	11,964	-	-	11,964
Proceeds from debt	874,383	-	-	874,383
Insurance recoveries	146,879	13,197	-	160,076
Total other financing sources and (uses)	186,368	119,197	1,158,229	1,463,794
Net Change In Fund Balance	(225,897)	76,278	47,269	(102,350)
Fund Balance at Beginning of Year, as originally stated	10,346,159	106,482	2,015,835	12,468,476
Prior period adjustment	113,021	-	-	113,021
Fund Balance at Beginning of Year, as restated	10,459,180	106,482	2,015,835	12,581,497
Fund Balance at End of Year	$ 10,233,283	$ 182,760	$ 2,063,104	$ 12,479,147

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2024

Net change in fund balances - total governmental funds	$ (102,350)
Amounts reported for governmental activities in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures. However, in the government-wide statement of activities and changes in net positon, the costs of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount of capital assets recorded for the current period.	2,838,939
Depreciation expense on capital assets is reported in the government-wide statement of activities and changes in net position, but they do not require the use of current financial resources. Therefore, depreciation expense is not reported as expenditure in the government funds.	(1,969,425)
Net effect of various transactions involving capital assets (i.e., sales, trade-ins, and contributed assets)	(63,264)
Governmental funds do not record net pension, OPEB liabilities, or deferred inflows/outflows of resources related to pensions or OPEB. However, the government wide statement of activities and changes in net assets reports the effects of these items.	111,239
The repayment of principal of long-term debt consumes the current financial resources of governmental funds. However, it has no effect on net position.	497,000
Debt proceeds are recorded as revenue in the governmental funds but not in the government wide financials.	(874,383)
Some expenses reported in the statement of activities do not require the use of current financial resources, therefore, they are not reported as expenditures in governmental funds. (accrued interest, compensated absences, bond amortization)	(43,388)
Revenues that were deferred in the governmental statements but are recognized in the government-wide statements	2,025,304
Some revenues will not be collected for several months after the City's fiscal year end, they are not considered "available" revenues in the governmental funds.	(129,104)
Change in net position of governmental activities	$ 2,290,568

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Taxes				
Property	$ 4,600,000	$ 4,600,000	$ 5,081,690	$ 481,690
Delinquent property taxes	120,000	120,000	165,905	45,905
Interest and penalty - real estate tax	20,000	20,000	32,482	12,482
Tax equivalents payments	25,000	25,000	34,455	9,455
Local sales tax	3,300,000	3,300,000	3,433,389	133,389
Business tax	185,000	185,000	264,577	79,577
Wholesale beer tax	260,000	260,000	304,602	44,602
Wholesale liquor tax	60,000	60,000	86,766	26,766
Beer priviledge tax	3,250	3,250	2,950	(300)
Franchise tax	107,000	107,000	79,366	(27,634)
Total taxes	8,680,250	8,680,250	9,486,182	805,932
Intergovernmental				
State revenues				
Sales tax	1,570,000	1,570,000	1,614,514	44,514
TVA in lieu of tax	155,000	155,000	161,228	6,228
Telecommunication tax	6,000	6,000	6,008	8
Income tax	25,000	25,000	298	(24,702)
Streets and tranportation	24,000	24,000	24,086	86
Gasoline and motor fuel tax	460,000	460,000	234,893	(225,107)
Gas tax 1989	-	-	36,709	36,709
Gas tax 3 cent	-	-	67,782	67,782
2017 gasoline tax	-	-	118,440	118,440
Corporate excise tax	70,000	70,000	82,126	12,126
Mixed drink tax	10,000	10,000	14,577	4,577
Beer tax	6,000	6,000	5,783	(217)
Sports betting tax	13,000	13,000	24,424	11,424
Transportation modernization tax	-	-	1,979	1,979
Hotel tax	-	-	1,907	1,907
County operating grant	15,000	15,000	23,823	8,823
Contributions from local governments	-	-	166,394	166,394
Fire grant	-	-	22,377	22,377
Fire salary supplement	-	-	19,200	19,200
Police salary supplement	-	-	23,200	23,200
Police grants	-	80,000	98,791	18,791
I-65 Interchange grant	-	166,000	-	(166,000)
Sidewalk grant - West Middle School	-	25,000	25,145	145
Sidewalk grant - College Street	-	46,000	56,083	10,083
Miscellaneous state and federal grants	-	90,000	68,424	(21,576)
Total intergovernmental revenues	2,354,000	2,761,000	2,898,191	137,191
Licenses and permits				
Beer licenses	500	500	1,250	750
Building permits	165,000	165,000	347,966	182,966
Plan review fees	200,000	200,000	126,130	(73,870)
Mechanical fees	140,000	140,000	26,750	(113,250)
Plumbing fees	140,000	140,000	20,238	(119,762)
Fire permit fees	2,500	2,500	3,994	1,494
Code violation fees	1,000	1,000	7,144	6,144
Food truck fees	5,000	5,000	8,500	3,500
Zoning permits	500	500	-	(500)
Zoning violation fees	500	500	-	(500)
Sidewalk fees	-	-	9,875	9,875
Planning/BZA fees	15,000	15,000	10,390	(4,610)
Package store fees	-	-	750	750
Clerk's fees	15,000	15,000	28,962	13,962
Total licenses and permits	685,000	685,000	591,949	(93,051)
City court fines and vehicle fees	167,500	167,500	128,628	(38,872)
Charges for services				
Property maintenance fees	2,500	2,500	512	(1,988)
Mowing	-	-	1,837	1,837
Duplicating services	500	500	1,553	1,053
Recreation revenue and fees	13,100	19,100	18,014	(1,086)
Total charges for services	16,100	22,100	21,916	(184)
Miscellaneous				
Animal control	1,000	8,000	8,917	917
Police grant from AKC	8,300	8,300	-	(8,300)
Rent revenues	10,000	10,000	10,534	534
Interest income	5,000	190,000	247,411	57,411
Contributions	60,000	60,000	55,850	(4,150)
Sale of books	-	-	395	395
Miscellaneous revenues	59,000	95,000	49,982	(45,018)
Total miscellaneous	143,300	371,300	373,089	1,789
Total revenues	12,046,150	12,687,150	13,499,955	812,805

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
(continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Legislative				
Salaries	352,199	352,199	405,276	(53,077)
Payroll taxes	26,561	26,561	32,601	(6,040)
Employee health insurance	103,967	103,967	88,988	14,979
Retirement	19,550	19,550	21,600	(2,050)
Workers compensation	700	700	460	240
Employee training and education	5,000	5,000	2,053	2,947
Advertising	4,000	4,000	7,406	(3,406)
Dues and subscriptions	1,000	1,000	1,000	-
Postage	7,000	7,000	6,868	132
Administrative services	28,800	28,800	25,200	3,600
Utilities	22,000	22,000	27,883	(5,883)
Telephone	55,000	55,000	48,932	6,068
Technology	1,000	26,000	24,478	1,522
Auditing	25,000	25,000	14,066	10,934
Data Processing	20,000	80,000	45,248	34,752
Code red	6,500	6,500	6,500	-
Other Professional services	-	-	5,475	(5,475)
Insurance	15,600	15,600	23,095	(7,495)
Office supplies	13,000	13,000	12,557	443
Operating supplies	11,000	11,000	15,159	(4,159)
Physicals	-	-	112	(112)
Small items of equipment	-	10,700	10,306	394
Uniforms	2,000	2,000	1,759	241
Building expense	5,000	45,000	40,627	4,373
Vehicle expense	455	455	369	86
Travel	500	500	1,139	(639)
Gas, oil and fuel	1,000	1,000	1,449	(449)
Bad debt expense	15,000	15,000	-	15,000
Donations	125,000	125,000	136,867	(11,867)
Builidng rent	-	-	1,500	(1,500)
Equipment rent	5,000	5,000	3,998	1,002
Bank charges	1,000	1,000	1,579	(579)
TIF payments	8,500	8,500	8,934	(434)
Tax relief matching	12,500	12,500	9,446	3,054
Miscellaneous	5,000	5,000	-	5,000
Other repairs	-	-	567	(567)
Total legislative	898,832	1,034,532	1,033,497	1,035

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL (continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Human resources				
Salaries	62,300	62,300	60,919	1,381
Payroll taxes	4,766	4,766	4,611	155
Employee health insurance	19,987	19,987	13,583	6,404
Retirement	3,523	3,523	2,092	1,431
Workers compensation	550	550	69	481
Employee training and education	10,000	10,000	6,043	3,957
Dues and subscriptions	300	300	-	300
Telephone	1,000	1,000	959	41
Technology	1,000	6,000	3,873	2,127
Travel	400	400	-	400
Meeting expenese	400	400	103	297
Data Processing	4,500	4,500	1,819	2,681
Other Professional services	-	15,000	17,650	(2,650)
Insurance	1,000	1,000	1,768	(768)
Office supplies	2,500	2,500	1,813	687
Safety committee	-	-	-	-
Employee recognition	2,500	2,500	-	2,500
Employee events	6,000	10,000	9,537	463
Total human resources	120,726	144,726	124,839	19,887
Administrative and Mayor				
Salaries	169,171	169,171	175,507	(6,336)
Payroll taxes	12,789	12,789	17,113	(4,324)
Employee health insurance	59,280	59,280	65,248	(5,968)
Retirement	9,643	9,643	9,545	98
Employee training and education	1,000	1,000	684	316
Workers compensation	800	800	480	320
Aldermen salaries	50,400	50,400	50,400	-
Printing	-	-	754	(754)
Dues	21,000	21,000	14,553	6,447
Public relations	15,000	15,000	16,403	(1,403)
Advertising	2,000	2,000	680	1,320
Telephone	2,000	2,000	4,477	(2,477)
Technology	1,000	21,000	10,145	10,855
Legal	1,000	1,000	-	1,000
Data Processing	2,000	2,000	4,734	(2,734)
Vehicle maintenance	1,000	1,000	52	948
Travel	2,500	2,500	33	2,467
Meeting expense	2,000	2,000	2,625	(625)
Office supplies	2,000	2,000	362	1,638
Gas, oil, and fuel	1,000	1,000	306	694
Insurance	1,500	1,500	404	1,096
Chamber events	20,000	20,000	12,284	7,716
Library expense	1,000	1,000	950	50
Miscellaneous	5,000	5,000	-	5,000
Total administrative and mayor	383,083	403,083	387,739	15,344
Total general government	1,402,641	1,582,341	1,546,075	36,266

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL (continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Public safety				
Police department				
Salaries	2,424,619	2,544,619	2,393,400	151,219
Payroll taxes	183,953	183,953	181,606	2,347
Employee health insurance	527,735	527,735	469,341	58,394
Retirement	133,590	133,590	133,315	275
Workers compensation	85,000	85,000	85,644	(644)
Employee training and education	9,000	9,000	17,353	(8,353)
Advertising	250	250	-	250
Dues and subscriptions	3,200	3,200	2,300	900
Postage	250	250	369	(119)
Utilities	29,500	29,500	32,538	(3,038)
Telephone	45,000	45,000	35,355	9,645
Radio system license	10,000	10,000	5,722	4,278
Licenses and fees	-	18,000	17,760	240
Technology	15,000	20,000	19,080	920
Physicals	3,000	3,000	5,058	(2,058)
Data processing	20,000	45,000	45,561	(561)
Other professional services	450,000	450,000	383,072	66,928
Travel	1,500	1,500	3,600	(2,100)
Office supplies	9,000	9,000	7,182	1,818
Operating supplies	22,000	22,000	20,575	1,425
Repairs and maintenance - vehicles	50,000	50,000	68,702	(18,702)
Repairs and maintenance - building	10,000	10,000	6,830	3,170
Clothing and uniforms	30,000	30,000	23,673	6,327
Duty equipment	-	25,000	24,290	710
Ammo supplies	15,000	15,000	14,104	896
Gas, oil and fuel	80,000	80,000	97,213	(17,213)
Insurance	70,000	70,000	81,165	(11,165)
Office equipment rental	4,000	4,000	3,827	173
Operating supplies - SOR	500	500	-	500
Community affairs	2,000	2,000	-	2,000
Small items of equipment	-	-	46,948	(46,948)
K - 9 supplies	15,000	15,000	-	15,000
Miscellaneous	300	300	55	245
Capital outlay	1,180,000	1,180,000	282,002	897,998
Total police department	5,429,397	5,622,397	4,507,640	1,114,757
Fire department				
Salaries	1,564,031	1,564,031	1,686,302	(122,271)
Payroll taxes	124,177	124,177	125,667	(1,490)
Employee health insurance	400,898	400,898	383,921	16,977
Retirement	86,954	86,954	89,199	(2,245)
Workers compensation	40,000	40,000	36,360	3,640
Employee training and education	10,000	10,000	15,667	(5,667)
Advertising	500	500	-	500
Dues and subscriptions	1,000	1,000	153	847
Postage	100	100	91	9
Utilites	47,250	47,250	45,415	1,835
Telephone	33,000	33,000	32,275	725
Radio system license	4,500	4,500	2,895	1,605
Technology	1,000	1,000	1,810	(810)
Other utility services	600	600	692	(92)
Physicals	20,000	20,000	18,643	1,357
Data processing	15,000	30,000	30,263	(263)
Repairs and maintenance - vehicles	40,000	190,000	97,723	92,277
Repairs and maintenance - equipment	10,000	10,000	7,955	2,045
Repairs and maintenance - building	20,000	30,000	36,798	(6,798)
Travel	6,000	6,000	7,485	(1,485)
Office supplies	5,500	5,500	276	5,224
Operating supplies	15,000	15,000	17,496	(2,496)
Safety committee	5,000	5,000	3,611	1,389
Small items of equipment	14,000	14,000	19,571	(5,571)
Clothing and uniforms	15,000	15,000	16,540	(1,540)
PPE	20,000	35,000	35,139	(139)
Gas, oil and fuel	22,000	22,000	20,781	1,219
Insurance	45,000	45,000	37,188	7,812
Office equipment rental	1,500	1,500	1,637	(137)
Miscellaneous	250	250	-	250
Capital outlay	-	900,000	877,981	22,019
Total fire department	2,568,260	3,658,260	3,649,534	8,726

The accompanying notes are an integral part of these financial statements.

Expenditures	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Public safety(continued)				
Court				
Salaries	58,600	58,600	58,853	(253)
Payroll taxes	4,483	4,483	4,452	31
Employee health insurance	19,987	19,987	10,504	9,483
Retirement	3,340	3,340	2,526	814
Workers compensation	-	-	1,038	(1,038)
Employee training and education	1,500	1,500	-	1,500
Technology	1,000	1,000	1,091	(91)
Data processing	1,000	1,000	1,059	(59)
Travel	1,000	1,000	550	450
Office supplies	1,000	1,000	95	905
Operating supplies	1,000	1,000	98	902
Insurance	250	250	1,323	(1,073)
Total court	93,160	93,160	81,589	11,571
Planning				
Salaries	153,110	153,110	148,358	4,752
Payroll taxes	11,713	11,713	11,800	(87)
Employee health insurance	30,423	30,423	41,449	(11,026)
Retirement	7,299	7,299	6,050	1,249
Workers compensation	1,000	1,000	2,060	(1,060)
Employee training and education	2,500	2,500	1,060	1,440
Meeting compensation	15,000	15,000	10,600	4,400
Contractual services	2,000	2,000	-	2,000
Site plan review	10,000	30,000	25,198	4,802
Dues and subscriptions	1,300	1,300	-	1,300
Postage	500	500	259	241
Advertising	1,000	1,000	1,408	(408)
Telephone	1,500	1,500	1,573	(73)
Technology	3,000	3,000	5,919	(2,919)
Physicals	-	-	76	(76)
Data processing	7,000	7,000	5,566	1,434
Other professional services	38,000	68,000	35,034	32,966
Repairs and maintenance - vehicles	100	100	-	100
Travel	2,000	2,000	-	2,000
Meeting expense	1,000	1,000	233	767
Office supplies	3,000	3,000	1,457	1,543
Operating supplies	1,000	1,000	366	634
Gas, oil and fuel	1,000	1,000	132	868
Insurance	1,500	1,500	1,035	465
Total planning	294,945	344,945	299,633	45,312
Codes				
Salaries	80,211	80,211	90,402	(10,191)
Payroll taxes	6,136	6,136	6,848	(712)
Employee health insurance	15,686	15,686	14,013	1,673
Retirement	4,572	4,572	5,092	(520)
Workers compensation	2,000	2,000	3,278	(1,278)
Employee training and education	5,000	5,000	515	4,485
Contractual services	25,000	25,000	16,655	8,345
Dues and subscriptions	350	350	335	15
Advertising	-	-	157	(157)
Telephone	1,000	1,000	863	137
Technology	1,000	1,000	4,036	(3,036)
Data processing	3,500	3,500	1,059	2,441
Repairs and maintenance - vehicles	1,000	1,000	24	976
Travel	-	-	836	(836)
Office supplies	1,500	1,500	2,581	(1,081)
Operating supplies	500	500	387	113
Repairs and maintenance - property	-	-	96	(96)
Gas, oil and fuel	2,500	2,500	1,314	1,186
Insurance	2,000	2,000	469	1,531
Total engineering	151,955	151,955	148,960	2,995
Animal control				
Salaries	38,651	41,651	43,035	(1,384)
Payroll taxes	2,957	2,957	3,305	(348)
Employee health insurance	9,917	9,917	10,819	(902)
Retirement	2,175	2,175	2,446	(271)
Workers compensation	1,500	1,500	1,097	403
Fees	500	500	-	500
Advertising	-	-	90	(90)
Utilities	4,250	4,250	6,442	(2,192)
Telephone	3,500	3,500	2,894	606
Technology	1,000	1,000	628	372
Physicals	-	-	-	-
Data processing	400	400	600	(200)
Euthanasia fees	-	10,000	5,195	4,805
Repairs and maintenance - vehicles	1,500	6,500	2,816	3,684
Repairs and maintenance - building	1,000	1,000	648	352
Operating supplies	500	5,500	2,966	2,534
Uniforms	250	250	194	56
Insurance	1,500	1,500	1,137	363
Total animal control	69,600	92,600	84,312	8,288
Total public safety	8,607,317	9,963,317	8,771,668	1,191,649

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL (continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures(continued)	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Public works				
Shop				
Salaries	55,491	75,491	67,600	7,891
Payroll taxes	4,245	4,245	5,215	(970)
Employee health insurance	8,688	23,688	23,203	485
Retirement	3,163	3,163	3,758	(595)
Workers compensation	2,500	2,500	2,630	(130)
Utilities	5,650	5,650	4,728	922
Telephone	3,300	3,300	3,473	(173)
Technology	1,000	1,000	52	948
Physicals	-	-	180	(180)
Data processing	4,000	4,000	5,059	(1,059)
Repairs and maintenance - vehicles	750	750	858	(108)
Repairs and maintenance - building	1,000	1,000	1,332	(332)
Operating supplies	10,000	10,000	11,246	(1,246)
Uniforms	850	850	175	675
Small items of equipment	5,500	5,500	5,618	(118)
Gas, oil and fuel	2,000	2,000	1,610	390
Insurance	2,500	8,500	7,959	541
Capital outlay	40,000	40,000	35,971	4,029
Total shop	150,637	191,637	180,667	10,970
Highways and streets				
Salaries	360,794	360,794	380,369	(19,575)
Payroll taxes	25,306	25,306	28,370	(3,064)
Employee health insurance	77,327	77,327	124,949	(47,622)
Retirement	17,825	17,825	19,360	(1,535)
Workers compensation	27,000	27,000	28,298	(1,298)
Employee training and education	2,500	2,500	1,220	1,280
Fees	500	500	-	500
Dues	-	-	-	-
Advertising	500	500	74	426
Utilities	232,000	232,000	269,336	(37,336)
Telephone	5,500	5,500	5,856	(356)
Technology	5,000	5,000	3,618	1,382
Physicals	750	750	1,122	(372)
Data processing	5,000	5,000	7,166	(2,166)
Other professional services	5,000	5,000	-	5,000
Repairs and maintenance - vehicles	17,500	17,500	18,244	(744)
Repairs and maintenance - equipment	10,000	10,000	6,465	3,535
Repairs and maintenance - traffic lights	-	10,000	11,197	(1,197)
Repairs and maintenance - property	1,000	1,000	-	1,000
Repairs and maintenance - building	5,000	5,000	2,099	2,901
Repairs - streets	155,000	230,000	149,307	80,693
Office supplies	1,000	1,000	427	573
Operating supplies	5,000	20,000	17,738	2,262
Signs	5,000	5,000	7,701	(2,701)
Rock/cold mix/salt	18,000	28,000	19,392	8,608
Small items of equipment	-	-	6,242	(6,242)
Uniforms	6,500	6,500	5,750	750
Gas, oil and fuel	40,000	40,000	22,475	17,525
Insurance	20,000	20,000	21,929	(1,929)
Street decorations	10,000	10,000	8,414	1,586
Capital outlay	225,000	245,000	351,428	(106,428)
Total highways and streets	1,284,002	1,414,002	1,518,546	(104,544)
State street aid				
Streets repair and maintenance	650,000	650,000	474,173	175,827
Total airport	650,000	650,000	474,173	175,827
Total public works	2,084,639	2,255,639	2,173,386	82,253

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL (continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures(continued)	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Health, welfare, and recreation				
Recreation				
Salaries	462,312	462,312	496,442	(34,130)
Payroll taxes	34,984	34,984	37,302	(2,318)
Employee health insurance	121,629	121,629	119,543	2,086
Retirement	22,995	22,995	23,742	(747)
Workers compensation	15,000	15,000	11,153	3,847
Employee training and education	1,000	1,000	-	1,000
Contractual services	2,500	2,500	1,099	1,401
Dues	400	400	-	400
Public relations	1,700	7,700	5,609	2,091
Advertising	500	500	126	374
Utilities	75,000	75,000	81,720	(6,720)
Telephone	11,500	11,500	10,766	734
Technology	-	-	260	(260)
Physicals	1,000	1,000	1,300	(300)
Data processing	1,500	9,500	8,385	1,115
Other professional services	2,400	7,400	7,453	(53)
Repairs and maintenance - vehicles	4,000	9,000	8,190	810
Repairs and maintenance - equipment	10,000	10,000	8,284	1,716
Repairs and maintenance - grounds	40,000	50,000	48,943	1,057
Repairs and maintenance - building	12,000	22,000	25,543	(3,543)
Repairs and maintenance - athletic fields	15,000	20,000	19,087	913
Repairs and maintenance - Cold Spring school	5,000	20,000	18,751	1,249
Travel	-	-	287	(287)
Office supplies	1,500	1,500	409	1,091
Operating supplies	13,000	13,000	14,704	(1,704)
Small items of equipment	1,500	21,500	20,914	586
Uniforms	3,500	3,500	4,154	(654)
Gas, oil, and fuel	15,500	15,500	18,224	(2,724)
Concessions	8,000	8,000	845	7,155
Insurance	25,000	25,000	26,284	(1,284)
Office equipment rental	1,500	1,500	835	665
Capital outlay	805,000	1,086,000	275,957	810,043
Total recreation	1,714,920	2,079,920	1,296,311	783,609
Total health, welfare, and recreation	1,714,920	2,079,920	1,296,311	783,609

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL (continued)
GENERAL FUND
YEAR ENDED JUNE 30, 2024

Expenditures(continued)	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Economic development				
Economic and community development				
Salaries	82,897	82,897	90,884	(7,987)
Payroll taxes	6,342	6,342	7,041	(699)
Employee health insurance	8,688	8,688	9,842	(1,154)
Retirement	4,725	4,725	4,966	(241)
Workers compensation	300	300	75	225
Employee training and education	2,000	2,000	-	2,000
Advertising	250	250	118	132
Postage	250	250	100	150
Physicals	-	-	131	(131)
Dues	500	500	125	375
Public relations	9,000	9,000	5,547	3,453
Telephone	1,250	1,250	455	795
Technology	1,500	1,500	1,186	314
Data processing	1,200	1,200	1,059	141
Office supplies	3,000	3,000	497	2,503
Travel	2,500	2,500	612	1,888
Small items of equipment	500	500	-	500
Insurance	500	500	2,142	(1,642)
Total economic and community development	125,402	125,402	124,780	622
Total ecomonic development	125,402	125,402	124,780	622
Total expenditures	13,934,919	16,006,619	13,912,220	2,094,399
Revenues Over (Under) Expenditures	(1,888,769)	(3,319,469)	(412,265)	2,907,204
Other financing sources and (uses)				
Transfers in	360,000	1,260,000	417,371	(842,629)
Transfers out	(1,071,229)	(1,264,229)	(1,264,229)	-
Sale of capital assets	-	-	11,964	11,964
Proceeds from debt	-	-	874,383	874,383
Insurance recoveries	15,000	145,000	146,879	1,879
Total other financing sources and (uses)	(696,229)	140,771	186,368	45,597
Net Change In Fund Balance	(2,584,998)	(3,178,698)	(225,897)	2,952,801
Fund Balance at Beginning of Year, as originally stated	10,346,159	10,346,159	10,346,159	-
Prior period adjustment	-	-	113,021	-
Fund Balance at Beginning of Year, as restated	10,346,159	10,346,159	10,459,180	-
Fund Balance at End of Year	$ 7,761,161	$ 7,167,461	$ 10,233,283	$ 2,952,801

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
AIRPORT FUND
YEAR ENDED JUNE 30, 2024

Revenues	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Intergovernmental revenues				
Federal grants	$ -	$ 200,000	$ 109,892	$ (90,108)
State grants	15,000	945,000	374,407	(570,593)
Contributions from other local governments	-	-	19,551	19,551
Charges for services				
Fuel sales revenues	150,000	230,000	269,009	39,009
Hangar rentals	93,000	93,000	100,356	7,356
Other revenues				
Rentals	4,000	4,000	4,000	-
Interest	-	-	57,093	57,093
Total revenues	262,000	1,472,000	934,308	(537,692)
Expenditures				
Salaries	111,008	111,008	115,450	(4,442)
Payroll taxes	8,492	8,492	8,917	(425)
Employee insurance	8,688	8,688	10,423	(1,735)
Retirement	3,751	3,751	3,952	(201)
Workers compensation	2,000	2,000	2,248	(248)
Employee education and training	500	500	-	500
Fees	500	500	471	29
Public relations	750	750	-	750
Advertising	250	250	-	250
Utilities	29,400	29,400	26,499	2,901
Telephone	7,500	7,500	8,662	(1,162)
Technology	1,000	1,000	500	500
Auditing	6,000	6,000	3,408	2,592
Data processing	2,500	2,500	1,894	606
Other professional services	-	-	-	-
Landscaping	500	500	-	500
Repairs and maintenance - vehicles	3,000	3,000	4,204	(1,204)
Building maintenance	12,000	12,000	2,767	9,233
Erosion control	-	10,000	7,822	2,178
Other repair and maintenance	-	60,000	55,597	4,403
Travel	1,000	1,000	658	342
Operating supplies	2,000	2,000	4,581	(2,581)
Small items of equipment	-	-	219	(219)
Gas and fuel	3,000	3,000	2,570	430
Fuel purchased for resale	150,000	200,000	218,736	(18,736)
Insurance	8,500	16,500	23,805	(7,305)
Bank charges	5,500	5,500	7,219	(1,719)
Capital outlay	-	840,000	466,625	373,375
Total expenditures	367,839	1,335,839	977,227	358,612
Excess (deficiency) of revenues over under expenditures	(105,839)	136,161	(42,919)	(179,080)
Other financing sources (uses)				
Transfer in	106,000	106,000	106,000	-
Insurance recovery	-	-	13,197	13,197
Total Other financing sources (uses)	106,000	106,000	119,197	13,197
Net Change In Fund Balance	161	242,161	76,278	(165,883)
Fund Balance at Beginning of Year	106,482	106,482	106,482	-
Fund Balance at End of Year	$ 106,643	$ 348,643	$ 182,760	$ (165,883)

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2024

	BUSINESS TYPE ACTIVITIES - ENTERPRISE FUNDS		
	WATER AND SEWER	NATURAL GAS	TOTALS
ASSETS			
Current Assets			
Cash and cash equivalents	$ 6,188,498	$ 6,396,701	$ 12,585,199
Investments	1,056,203	-	1,056,203
Accounts receivable, net of allowance	833,464	189,102	1,022,566
Interest Receivables	8,361	-	8,361
Grant receivables	79,873	1,003	80,876
Due from TDOT	437,611	43,050	480,661
Due from other funds	1,465	1,727	3,192
Inventory	1,110,013	312,594	1,422,607
Prepaid expenses	12,760	9,552	22,312
Total Current Assets	9,728,248	6,953,729	16,681,977
Restricted Assets			
Cash and cash equivalents	4,952,849	-	4,952,849
Property, Plant and Equipment			
Plant and equipment	61,723,186	20,449,091	82,172,277
Land, right of ways, usages	1,071,338	240,061	1,311,399
Total Property, Plant and Equipment	62,794,524	20,689,152	83,483,676
Construction in progress	15,506,709	1,012,608	16,519,317
Less accumulated depreciation	(26,677,264)	(8,250,161)	(34,927,425)
Net Property, Plant and Equipment	51,623,969	13,451,599	65,075,568
Total Assets	66,305,066	20,405,328	86,710,394
Deferred Outflows of Resources			
Deferred charge on refunding	36,255	-	36,255
Related to pension	721,555	251,474	973,029
Related to OPEB	132,057	43,275	175,332
Total Deferred Outflows of Resources	889,867	294,749	1,184,616
LIABILITIES			
Current Liabilities			
Accounts payable	804,751	139,008	943,759
Accrued expenses	73,686	-	73,686
Retainage payable	570,259	-	570,259
Unearned revenue	3,631,322	843	3,632,165
Accrued payroll	49,124	14,384	63,508
Due to other funds	271	54	325
Accrued interest payable	218,586	-	218,586
Current portion of long-term debt	1,002,468	-	1,002,468
Total Current Liabilities	6,350,467	154,289	6,504,756
Long-Term Liabilities			
Compensated absences	91,605	30,470	122,075
Net pension liability	83,517	26,785	110,302
Total OPEB liability	405,338	132,833	538,171
Long-term debt	27,609,847	-	27,609,847
Total Long-Term Liabilities	28,190,307	190,088	28,380,395
Total Liabilities	34,540,774	344,377	34,885,151
Deferred Inflows of Resources			
Related to OPEB	223,057	73,100	296,157
Related to pension	14,330	4,994	19,324
Total deferred inflows of resources	237,387	78,094	315,481
NET POSITION			
Net investment in capital assets	23,011,654	13,451,599	36,463,253
Restricted for pension	-	-	-
Unrestricted	9,405,118	6,826,007	16,231,125
Total Net Position	$ 32,416,772	$ 20,277,606	$ 52,694,378

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2024

	BUSINESS TYPE ACTIVITIES - ENTERPRISE FUNDS		
	WATER AND SEWER	NATURAL GAS	TOTALS
OPERATING REVENUES			
Charges for services	$ 11,607,445	$ 5,829,161	$ 17,436,606
Recovery of uncollectible accounts	1,740	-	1,740
Uncollectible accounts	(32,528)	(3,654)	(36,182)
Miscellaneous	18,103	24,713	42,816
Total Operating Revenues	11,594,760	5,850,220	17,444,980
OPERATING EXPENSES			
Gas purchases	-	2,875,622	2,875,622
Personnel services	3,399,399	1,110,671	4,510,070
Professional services	295,599	171,594	467,193
Other administrative	125,888	45,571	171,459
Insurance	180,361	20,609	200,970
Utilities	676,515	49,782	726,297
Materials and supplies	582,981	222,201	805,182
Machinery and equipment	-	26,616	26,616
Repairs and maintenance	1,489,351	76,507	1,565,858
Depreciation and amortization	1,534,730	556,957	2,091,687
Total Operating Expenses	8,284,824	5,156,130	13,440,954
Operating Income	3,309,936	694,090	4,004,026
NONOPERATING REVENUES (EXPENSES)			
Interest income	530,620	204,300	734,920
Insurance recoveries	6,781	-	6,781
TDOT SIA project	510,317	54,308	564,625
FEMA	2,563	1,003	3,566
Amortization of bond premium	115,171	-	115,171
Gain(loss) on sale/disposal of capital assets	(1,369)	6,959	5,590
Bond issue costs	(1,459)	-	(1,459)
Interest expense	(906,367)	-	(906,367)
Total Nonoperating Revenues (Expenses)	256,257	266,570	522,827
NET INCOME BEFORE TRANSFERS AND CAPITAL CONTRIBUTIONS	3,566,193	960,660	4,526,853
TRANSFERS AND CAPITAL CONTRIBUTIONS			
Transfer out	(200,697)	(216,674)	(417,371)
Capital contributions	986,936	-	986,936
Total Transfers and Capital Contributions	786,239	(216,674)	569,565
CHANGE IN NET POSITION	4,352,432	743,986	5,096,418
NET POSITION - BEGINNING OF YEAR, as previously reported	28,233,759	19,524,946	47,758,705
PRIOR PERIOD ADJUSTMENT	(169,419)	8,674	(160,745)
NET POSITON - BEGINNING OF YEAR, as restated	28,064,340	19,533,620	47,597,960
NET POSITION - END OF YEAR	$ 32,416,772	$ 20,277,606	$ 52,694,378

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2024

	BUSINESS TYPE ACTIVITIES - ENTERPRISE FUNDS		
	WATER AND SEWER	NATURAL GAS	TOTALS
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash received from customers	$ 11,475,249	$ 5,868,780	$ 17,344,029
Other operating cash receipts	(300,521)	33,387	(267,134)
Cash payments to suppliers for goods and services	(3,794,217)	(3,550,128)	(7,344,345)
Cash payments for personnel services	(3,376,745)	(1,109,049)	(4,485,794)
Cash payments to other funds	(1,818)	(777)	(2,595)
NET CASH PROVIDED BY (USED FOR) OPERATING ACTIVITIES	4,001,948	1,242,213	5,244,161
CASH FLOWS FROM NON-CAPITAL AND RELATED FINANCING ACTIVITIES			
TDOT reimbursements	72,706	11,258	83,964
Transfers out	(200,697)	(216,674)	(417,371)
NET CASH PROVIDED BY (USED FOR) NON-CAPITAL AND RELATED FINANCING ACTIVITIES	(127,991)	(205,416)	(333,407)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES			
Acquisition/disposals of fixed assets	(11,182,411)	(290,925)	(11,473,336)
Gain on sale/disposals of capital assets	-	16,004	16,004
Bond Issue costs	(1,459)	-	(1,459)
Insurance recoveries	6,781	-	6,781
Capital contributions	138,290	-	138,290
Principal payments on long-term debt	(986,280)	-	(986,280)
Interest paid on long-term debt	(911,022)	-	(911,022)
NET CASH PROVIDED BY (USED FOR) CAPITAL AND RELATED FINANCING ACTIVITIES	(12,936,101)	(274,921)	(13,211,022)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase/maturity of investments	(29,834)	-	(29,834)
Interest earned	522,259	204,300	726,559
NET CASH PROVIDED BY (USED FOR) INVESTING ACTIVITIES	492,425	204,300	696,725
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(8,569,719)	966,176	(7,603,543)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	19,711,066	5,430,525	25,141,591
CASH AND CASH EQUIVALENTS AT END OF YEAR	$ 11,141,347	$ 6,396,701	$ 17,538,048
RECONCILIATION OF INCOME FROM OPERATIONS TO NET CASH PROVIDED BY OPERATING ACTIVITIES			
Income (loss) from operating activities	$ 3,309,936	$ 694,090	$ 4,004,026
Adjustments to reconcile income from operations to net cash			
Depreciation and amortization	1,534,730	556,957	2,091,687
Changes in Assets and Liabilities:			
(Increase) decrease in accounts receivable	(101,408)	43,520	(57,888)
(Increase) decrease in escrow	87,895	8,674	96,569
(Increase) decrease in net pension assets	-	854	854
(Increase) decrease in due from other funds	3,484	3,659	7,143
(Increase) decrease in inventories	(178,951)	(57,140)	(236,091)
(Increase) decrease in prepaid expenses	(9,663)	1	(9,662)
(Increase) decrease in deferred outflows	(40,616)	(14,766)	(55,382)
Increase (decrease) in accounts payable	(271,405)	(5,341)	(276,746)
(Increase) decrease in due to other funds	(5,302)	(4,436)	(9,738)
Increase (decrease) in OPEB liability	50,235	16,460	66,695
Increase (decrease) in net pension liability	79,304	26,785	106,089
Increase (decrease) in unearned revenue	(406,519)	143	(406,376)
Increase (decrease) in accrued payroll	5,287	(390)	4,897
Increase (decrease) in compensated absences	7,339	(289)	7,050
Increase (decrease) in deferred inflows of resources	(78,895)	(26,568)	(105,463)
Increase (decrease) in accrued liabilities	16,497	-	16,497
NET CASH PROVIDED BY (USED FOR) OPERATING ACTIVITIES	$ 4,001,948	$ 1,242,213	$ 5,244,161

Noncash transactions

Donation of contributed lines from developers	$ (771,336)	$ -	$ (771,336)
Prior period adjustment for cancelled cip projects	$ (193,958)	$ -	$ (193,958)
Loss on transfer of capital assets between funds	$ 1,369	$ 953	$ 2,322

The accompanying notes are an integral part of these financial statements.

CITY OF PORTLAND, TENNESSEE
STATEMENT OF FIDUCIARY NET POSITION
AGENCY FUND
JUNE 30, 2024

	Agency Fund
ASSETS	
Cash and cash equivalents	$ 5,500
TOTAL ASSETS	$ 5,500
LIABILITIES	
Accrued liabilities	$ 2,500
Due to Industrial Develoment Board	3,000
	$ 5,500

The accompanying notes are an integral part of these financial statements.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.A. REPORTING ENTITY AND INTRODUCTION

The City of Portland, Tennessee ("the City") was incorporated May 21, 1905, by the authority of the 54th Tennessee General Assembly and was chartered under the Private Acts of 1939, Chapter No. 568 House Bill No. 1377. The City operates under a Mayor-Aldermen form of government and provides the following services as authorized by its charter: public safety, water, wastewater, natural gas, solid waste (sanitation), parks and recreation, public works, planning and zoning, airport, and general administrative services.

The City's financial statements are prepared in accordance with generally accepted accounting principles (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The accounting and reporting framework and the more significant accounting policies are discussed in subsequent sections of this Note.

The City's financial reporting entity comprises the following:

Primary Government	City of Portland
Blended Component Units	None

In determining the financial reporting entity, the City complies with the provisions of GASB Statement No. 14, "The Financial Reporting Entity", and includes all component units of which the City appointed a voting majority of the units' board; the City is either able to impose its will or a financial benefit or burden relationship exists.

The Portland Airport Authority as established in the city charter is responsible for development, construction and operation of the Portland Airport. Financial activities of the Portland Airport Authority are included in the Airport Fund of these financial statements.

City officials are responsible for appointing members of the Portland Housing Authority and the Housing Assistance Board of Portland, Tennessee. Accountability for these organizations does not extend beyond making appointments. They do not meet the criteria in Section 2100 of GASB's Codification of Governmental Accounting and Financial Reporting Standards for inclusion as component units.

City officials are responsible for appointing members to the Industrial Development Board of the City of Portland, Tennessee, as established by authority of Chapter 53, Title 7 of the Tennessee Code Annotated. The City has a fiduciary responsibility to administer proceeds of revenue notes issued by the Portland Industrial Development Board ("IDB"). The IDB does not meet the criteria in Section 2100 of GASB's Codification of Governmental Accounting and Financial Reporting Standards for inclusion as a component unit, however it does meet the criteria for inclusion as a fiduciary fund.

In evaluating the City as a reporting entity, management has addressed all potential component units for which the City may be financially accountable and, as such, should be included within the City's financial statements. Based on the criteria of financial accountability, the City had no component units at June 30, 2024.

1.B. BASIS OF PRESENTATION

Government-wide Financial Statements

The Statement of Net Position and Statement of Activities display information about the reporting government as a whole. They include all funds of the reporting entity except for fiduciary funds. The statements distinguish between governmental and business-type activities. Governmental activities, which normally are supported by taxes and intergovernmental, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers of applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment, and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments for in lieu of taxes where the amounts are reasonable equivalent in value to the interfund services provided and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported by the various functions concerned.

Fund Financial Statements

Fund financial statements of the reporting entity are organized into funds, each of which is considered to be separate accounting entities. Each fund is accounted for by providing a separate set of self-balancing accounts that constitute its assets, liabilities, fund equity, revenues, and expenditures/expenses. Funds are organized into three major categories: governmental, proprietary, and fiduciary. An emphasis is placed on major funds within the governmental and proprietary categories. A fund is considered major if it is the primary operating fund of the City or meets the following criteria:

a. Total assets, liabilities, revenues and expenditures/expenses of that individual governmental or enterprise fund are at least 10 percent of the corresponding total for all funds of that category or type; and

b. Total assets, liabilities, revenues and expenditures/expenses of the individual governmental fund or enterprise fund are at least 5 percent of the corresponding total for all governmental and enterprise funds combined.

The funds of the financial reporting entity are described below:

Governmental Funds

General Fund

The General Fund is the primary operating fund of the City and is always classified as a major fund. It is used to account for all activities except those legally or administratively required to be accounted for in other funds.
Special Revenue Funds

Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for certain purposes.

Proprietary Fund

Enterprise Fund

Enterprise funds are used to account for business-like activities provided to the general public. These activities are financed primarily by used charges and the measurement of financial activity focuses on net income measurement similar to the private sector.

Fiduciary Fund

The Fiduciary fund financial statement consists of a Statement of Net Position for an agency fund of the Portland Industrial Development Board which are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. The agency fund is accounted for on a spending or “economic reasons” measurement focus and the accrual basis of accounting.

Major and Nonmajor Funds

The funds are further classified as major or nonmajor as follows:

Fund	**Brief Description**
Major:	
General	See above for description
Special Revenue Funds:	
Airport	Accounts for revenues and expenditures related to airport activities.
Proprietary Funds:	
Water and Sewer Fund	Accounts for operation of the water and wastewater services provided to customers of the system.
Natural Gas Fund	Accounts for the distribution of natural gas to customers of the system.

Nonmajor:
Special Revenue Funds:

Solid Waste (Sanitation)	Accounts for solid waste collection revenue and expenditures related to disposal services.
Stormwater	Accounts for revenues and expenditures related to stormwater activities.
Drug Enforcement	Accounts for revenues and expenditures on drug fines and enforcement costs.
E-Citation	Accounts for fees for electronic tickets.
Golf Course	Accounts for revenues and expenditures related to golf course activities.
Impact Fee	Accounts for fees charged for development.
Debt Service Fund	Accounts for governmental debt payments.

1.C. MEASUREMENT FOCUS AND BASIS OF ACCOUNTING

The accounting and financial reporting treatment is determined by the applicable measurement focus and basis of accounting. Measurement focus indicates the type of resources being measured such as *current financial resources* or *economic resources*. The basis of accounting indicates timing transactions or events for recognition in the financial statements.

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

The governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when the are collectible within the current period or soon thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current fiscal year. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences, and claims and judgements, are recorded only when payment is due. General capital asset acquisitions are reported as expenditures in governmental funds. Issuance of long-term debt and acquisitions under capital lease are reported as other financing sources.

Property taxes, sales taxes, franchise taxes, licenses, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. Entitlements are recorded as revenues when all eligibility requirements are met; including any time requirements, and the amount is received during the period or within the availability period for this revenue source (within 60 days of yearend). Expenditure-driven grants are recognized as revenue when the qualifying expenditures have been incurred and all other eligibility requirements have been met, and the amount is received during the period or within the availability period for this revenue source (within 60 days of yearend). All other revenue items are considered to be measurable and available only with the cash is received by the government.

The proprietary funds are reported using the *economic resources measurement focus* and the *accrual basis of accounting*.

The City does not allocate indirect costs.

1.D. BUDGETARY INFORMATION

Annual budgets are adopted on a basis consistent with the accounting principles generally accepted in the United States of America for all governmental funds.

The City adopts its budget in accordance with the State's legal requirement which is the level of classification detail at which expenditures may not legally exceed appropriations.

The City follows these procedures in establishing the budgetary data reflected in the financial statements:

a. Formal budgetary integration is employed as a management control device during the year for the General and Special Revenue Funds. These budgets are adopted on a basis consistent with generally accepted accounting principles.

b. Unused appropriations for each of the annually adopted budgets funds lapse at the end of the year.

c. Revisions to the budget may be made throughout the year in accordance with governing statutes and consistent with generally accepted accounting principles.

The City's fiscal operating year begins July 1st. An annual operating budget is adopted by the Mayor and Board of Aldermen prior to the commencement of the fiscal year. The budget is legally enacted through the passage of an ordinance which also sets the tax rate. Any revision that alters the total appropriations of any fund requires action by the Board of Aldermen.

1.E. ESTIMATES

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

1.F. ASSETS, LIABILITIES, DEFERRED OUTFLOWS/INFLOWS OR RESOURCES, AND NET POSITION/FUND BALANCE

Cash and cash equivalents

The City considers all highly liquid investments with an original maturity of three months or less when purchased to be cash and cash equivalents. Certain cash and cash equivalents of the City are classified as restricted assets on the Statement of Net Position because they are maintained in separate accounts and/or their use is limited by City ordinance, certain agreements, and/or contracts with third parties.

Investments

Unrestricted investments of the governmental and proprietary fund types consist of certificates of deposit and are stated at cost, which approximates fair value.

Interfund Receivables and Payables

During the course of operations, numerous transactions occur between individual funds that may result in amounts owed between funds. Those related to goods and services type transactions are classified as “due to and from other funds.” Interfund receivables and payables between funds within governmental activities are eliminated in the Statement of Net Position. See Note 3.F. for details of interfund transactions, including receivables and payables at yearend.

Receivables

In the government-wide statements, receivables consist of all revenues earned at yearend and not yet received. Allowances for uncollectible accounts receivable are based upon historical trends and the periodic aging of accounts receivable. Major receivable balances for the governmental activities include property taxes, sales taxes, and grants. Business-type activities report utilities as their major receivables.

Inventories and Prepaid Items

Inventory of the Public Works and Solid Waste departments, Airport Authority, Water & Sewer, and Gas Funds is stated at cost determined by average cost method. The costs of governmental funds inventories are recorded as expenditures when purchased. Certain payments to vendors reflecting costs applicable to future accounting periods are recorded as prepaid items in both the government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased. The inventories and prepaid items recorded in the governmental funds do not reflect current appropriable resources and, thus, an equivalent portion of fund balance is reported as non-spendable.

Restricted Assets

Certain cash is reported as restricted because they are maintained in separate bank accounts and their use is either limited by applicable bond covenants or are restricted for use by outside parties or bond issues.

Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets are reported in the applicable governmental or business-type activities columns in the government-wide financial statements and the proprietary fund financial statements. Capital assets used in governmental fund operations are accounted for as capital outlay expenditures. Capital assets, not including general government infrastructure assets, are defined by the government as assets with an initial, total cost of more than $10,000 and an estimated useful life in excess of one year.

General government infrastructure assets with a total cost greater than $10,000 and an estimated useful life in excess of one year are capitalized. All capital assets are valued at historical cost or estimated historical cost if actual historical cost is not available. Donated fixed assets are valued at their estimated fair value on the date donated.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend the asset lives are not capitalized.

Depreciation has been provided over estimated useful lives using the straight-line method. The estimated useful lives are as follows:

Governmental Activities:	
Buildings	40 years
Improvements Other than Buildings	10-40 years
Infrastructure Assets	15-50 years
Machinery, Equipment, & Vehicles	5-40 years

Business-type Activities:	
Water and Sewer Plant	10-50 years
Natural Gas Plant	10-50 years
Machinery, Equipment, & Vehicles	5-15 years
Furniture and Fixtures	5-15 years

Property Tax The City's property tax is levied each October 1st on the assessed value listed as of the prior January 1st for all real and personal property located in the City's legal boundaries. All City taxes on real estate are declared to be a lien on such realty from January 1st of the year assessments are made. Taxes become delinquent in March of the year subsequent to the levy date; at that time a lien attaches, and delinquent taxes are turned over for collection proceedings. Property tax revenues are recognized when levied. An allowance is established for delinquent taxes to the extent that their collectability is doubtful.

Property taxes are treated as non-exchange revenue. Accounts receivable from imposed non-exchange transactions are recorded when the City has an enforceable legal claim to the asset. The enforceable legal claim date for property taxes is the assessment date of January 1st. Therefore, the City has recorded the succeeding year's receivable and deferred inflows of resources for taxes assessed as of June 30, 2024 that will not be received until after year-end.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The government's pension-related items and OPEP related items fall into this category.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period(s) and so will *not* be recognized as an inflow of resources (revenue) until that time. The government has three items that qualify for reporting in this category. One item, unavailable revenue, is reported only in the government-wide Statement of Net Position and the governmental funds balance sheet. The governmental funds report unavailable revenues from one source: property taxes. Also, the government's pension-related items and OPEP related items fall into this category.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by TCRS for Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of TCRS. Investments are reported at their fair value.

Compensated Absences

The City's policies permit employees to earn vacation time on a calendar-year basis. Vacation leave earned but unpaid at June 30, 2024 is accrued and presented as current liabilities in the government-wide and proprietary fund financial statements. The City's policy allows employees to roll over 40 hours of vacation and the balance is transferred to sick time. The City's policies permit the accumulation, within certain limitations, of unused sick leave with vesting of unused amounts upon retirement with no monetary payouts. In the fund financial statements, governmental funds report only the compensated absence liability payable from expendable available resources. The compensated absence liability attributable to the governmental activities will be liquidated primarily by the General Fund.

Long-term Debt

In the government-wide financial statements, and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net assets. Bond premiums and discounts are deferred and amortized straight-line over the life of the bonds that are reported net with bonds payable. Bond issue costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Net Position Flow Assumption

Sometimes the government will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which resources are considered applied. It is the government's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Net position is displayed in three components:

a. Net investment in capital assets – Consists of capital assets including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvements of those assets.
b. Restricted net position – Consists of net position with constraints placed on the use either by (1) external groups such as creditors, grantors, contributors, or laws and regulations of other governments; or (2) law through constitutional provisions or enabling legislation.
c. Unrestricted net position – All other net position that do not meet the definition of "restricted" or "net investments in capital assets."

Fund Balance Policies

Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. The government itself can establish limitations on the use of resources through either a commitment (committed fund balance) or an assignment (assigned fund balance).

The *committed* fund balance classification includes amounts that can be used only for the specific purposes determined by a formal action of the government's highest level of decision-making authority. The City Board is the government's highest level of decision-making authority for the government that can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken to remove or revise the limitation.

Amounts in the *assigned* fund balance classification are intended to be used by the government for specific purposes but do not meet the criteria to be classified as committed. The governing board has by resolution authorized the treasurer to assign fund balance. The Board may also assign fund balance as it does when appropriating fund balance to cover a gap between estimated revenue and appropriations in the subsequent year's budget. Unlike commitments, assignments generally only exist temporarily. In other words, an additional action does not normally have to be taken for the removal or assignment. Conversely, as discussed above, an additional action is essential to either remove or revise a commitment.

Non-spendable fund balance is associated with inventories, prepaids, long-term loans and notes receivable, and property held for resale (unless the proceeds are restricted, committed or assigned).

Restricted fund balance category includes amounts that can be spent only for the specific purposes stipulated by constitution, external resource providers, or through enabling legislation.

The City considers that committed amounts would be used first, followed by assigned amounts, and then unassigned amounts when expenditures are incurred for purposes for which amounts in any of those restricted fund balance classifications could be used.

When expenditures are incurred for purposes, for which both restricted and unrestricted (assigned or unassigned) amounts are available, it shall be the policy of the City to use the restricted amounts first as permitted under the law. When the expenditure is incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, it shall be the policy of the City to use the assigned amounts first, followed by the unassigned amounts.

1.G. REVENUES, EXPENDITURES AND EXPENSES

Program Revenues

Amounts reported as program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions (including special assessments) that are restricted to meeting the operational or capital requirements of a particular function or segment. All taxes, including those dedicated for specific purposes, and other internally dedicated resources are reported as general revenues rather than as program revenues.

Sales Tax

The City presently levies a nine and one quarter percent sales tax on taxable sales within the City. The sales tax is collected by the Tennessee Department of Revenue and remitted to the City in the month following receipt by the Department of Revenue. The Department of Revenue receives the sales tax approximately one month after collection by vendors.

Property Tax

Property taxes are levied annually on the first of January. The taxes are due and payable from the following October through February in the year succeeding the tax levy. An unperfected lien attaches by statute to property on March 1 for unpaid taxes from the prior year's levy. Taxes uncollected for one year past the due date are submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment. In the fund financial statements, property taxes are recorded as revenue in the period levied to the extent they are collected within 60 days of year-end.

Operating Revenues and Expenses

Operating revenues and expenses for proprietary funds are those that result from providing services and producing and delivering goods and/or services. It also includes all revenue and expenses not related to capital and related financing, noncapital financing, or investing activities. All revenues that are not generated from the daily operations are defined as non-operating.

Expenditures/Expenses

In the government-wide financial statements, expenses are classified by function for both governmental and business-type activities.

In the fund financial statements, expenditures are classified as follows:

Governmental funds – by Character:	Current (further classified by function) Debt Service Capital Outlay
Proprietary Fund – by Operating and Nonoperating	

In fund financial statements, governmental funds report expenditures of financial resources. Proprietary funds report expenses relating to use of economic resources.

Interfund Transfers

Permanent, reallocation of resources between funds of the reporting entity are classified as interfund transfers. For the purposes of the Statement of Activities, all interfund transfers between individual governmental funds have been eliminated.

1.H. IMPACT OF RECENTLY ISSUED ACCOUNTING PRONOUNCEMENT

In June 2022, the GASB issued State No. 100 – Accounting Changes and Error Corrections – an amendment of GASB Statement No. 62, effective for fiscal years beginning after June 15, 2023, and all reporting periods thereafter. The primary objective of the Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability. See Note 4.F. for the note disclosure regarding prior period adjustments.

NOTE 2. STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

By its nature as a local government unit, the City and its component units are subject to various federal, state, and local laws and contractual regulations. An analysis of the City's compliance with significant laws and regulations and demonstration of its stewardship over the City resources follows.

2.A. FUND ACCOUNTING REQUIREMENTS

Fund	**Required By**
Police Drug Fund	State Law

2.B. DEPOSITS AND INVESTMENTS LAWS AND REGULATIONS

In accordance with state law, all uninsured deposits of municipal funds in financial institutions must be secured with acceptable collateral valued at the lower of market or par. Acceptable collateral includes certain U.S. Government or Government Agency securities, certain Tennessee or political subdivision debt obligations, or surety bonds. As required by 12 U.S.C.A., Section 1823(e), all financial institutions pledging collateral to the City must have a written collateral agreement approved by the board of directors or loan committee.

The City's investment policies are governed by State Statute. Permissible investments include direct obligations of the U.S. Government and agency securities, certificates of deposit, and savings accounts. Collateral is required for demand deposits, certificates of deposit, and repurchase agreements at 105% of all amounts not covered by federal deposit insurance. Obligations that may be pledged as collateral are obligations of the United States and its agencies and obligations and the State and its subdivisions. The City has no policy that further limits allowable investments.

Unrestricted investments of the governmental and proprietary fund types consist of certificates of deposit and are stated at cost, which approximates fair market value.

2.C. REVENUE RESTRICTIONS

The City has various restrictions over certain revenue sources from state or local requirements. The primary restricted revenue sources include:

Revenue Source	Legal Restrictions of Use
Gasoline excise tax	Street purposes
Grants	Grant program expenditures

2.D. FUND EQUITY RESTRICTIONS

Deficit Prohibition

Tennessee Statutes prohibit the creation of a deficit fund balance in any individual fund. No City funds had a deficit fund balance at June 30, 2024.

NOTE 3. DETAIL NOTES ON TRANSACTION CLASSES/ACCOUNTS

3.A. CASH AND INVESTMENTS

Deposits and Investments

The City's policies regarding deposits of cash are discussed in Note 1.F. and Note 2.B. The City maintains checking accounts with local banks. Also, some funds are held as certificates of deposit at local banks. Deposits are carried at cost plus accrued interest. The carrying amount of deposits is separately displayed on the balance sheet as "cash and cash equivalents" and "investments". Investments consist of certificates of deposits at the local banks whose maturity exceeds three months.

Deposits: As of June 30, 2024, all of the City's deposits were held by financial institutions which participate in the bank collateral pool administered by the Treasurer of the State of Tennessee. Participating banks in the bank collateral pool determine the aggregate balance of their public fund accounts. The amount of collateral required to secure these public deposits must be at least 105% of the average daily balance of public deposits held. Collected securities required to be pledged by the participant banks to protect their public fund accounts are pledged to the State Treasurer on behalf of the bank collateral pool. The securities pledged to protect these accounts are pledged in the aggregate rather than against each individual account. The members of the pool may be required by agreement to pay an assessment to cover any deficiency. Under the additional assessment agreement, public fund accounts covered by the pool are considered to be insured for purposes of custodial credit risk disclosure.

Investments: As of June 30, 2024, the City also held certificates of deposit with initial maturities of greater than three months which have been classified as investments. The certificates of deposit earn interest ranging from 4.75% to 5% and are invested with banks participating in the state bank collateral pool.

3.B. ACCOUNTS RECEIVABLE

Accounts receivable of the business-type activities consists of utilities receivable. Accounts receivable of the governmental activities consists of amounts due from the various local sources. Receivables detail at June 30, 2024, is as follows:

	Governmental Activities		Business-type Activities		
	Solidwaste	Stormwater	Water and Wastewater	Natural Gas	Total
Accounts receivable	$ 121,674	$ 53,624	$ 882,079	$ 213,071	$ 1,270,448
Allowance for doubtful accounts	(14,733)	(4,379)	(48,615)	(23,969)	(91,696)
Net accounts receivable	$ 106,941	$ 49,245	$ 833,464	$ 189,102	$ 1,178,752

3.C. CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2024, was as follows:

Government Activities:	Balance 7/1/2023	Additions/ Adjustments	Retirements/ Adjustments	Balance 6/30/2024
Capital assets not being depreciated				
Land	$ 6,915,440	$ 200,000	$ -	$ 7,115,440
Construction in Progress	1,110,522	621,462	31,846	1,700,138
Total capital assets not being depreciated	8,025,962	821,462	31,846	8,815,578
Capital assets being depreciated				
Buildings and plant	15,226,330	327,454	48,668	15,505,116
Other improvements	15,364,459	95,834	155,135	15,305,158
Infrastructure	14,120,944	-	-	14,120,944
Machinery and equipment	8,775,262	1,950,293	370,506	10,355,049
Total capital assets being depreciated	53,486,995	2,373,581	574,309	55,286,267
Less accumulated depreciation for:				
Buildings and plant	3,692,547	396,907	43,146	4,046,308
Other improvements	3,635,626	432,907	95,071	3,973,462
Infrastructure	6,814,614	345,047	-	7,159,661
Machinery and equipment	5,758,416	1,116,478	370,506	6,504,388
Total accumulated depreciation	19,901,203	2,291,339	508,723	21,683,819
Total capital assets, being depreciated, net	33,585,792			33,602,448
Government activities capital assets, net	$ 41,611,754			$ 42,418,026
Business-type Activities:				
Capital assets not being depreciated				
Land	$ 1,295,582	$ 15,817	$ -	$ 1,311,399
Construction in Progress	7,050,324	11,782,351	2,313,358	16,519,317
Total capital assets not being depreciated	8,345,906	11,798,168	2,313,358	17,830,716
Capital assets being depreciated				
Water & Sewer Plant	57,106,631	2,073,199	-	59,179,830
Natural Gas Plant	18,536,652	718,034	106,690	19,147,996
Machinery, equipment & vehicles	3,913,103	258,818	327,470	3,844,451
Total capital assets being depreciated	79,556,386	3,050,051	434,160	82,172,277
Less accumulated depreciation for:				
Water & Sewer Plant	23,343,580	1,376,762	-	24,720,342
Natural Gas Plant	6,885,428	449,775	102,192	7,233,011
Machinery, equipment & vehicles	2,890,721	404,905	321,554	2,974,072
Total accumulated depreciation	33,119,729	2,231,442	423,746	34,927,425
Total capital assets, being depreciated, net	46,436,657			47,244,852
Business-type activities capital assets, net	$ 54,782,563			$ 65,075,568

Depreciation expense was charged to governmental activities as follows:

Governmental activities:		
General government	$	161,978
Public safety		521,943
Public works		1,045,550
Health, welfare, and recreation		239,954
	$	1,969,425

Depreciation expense was charged to business-type activities as follows:

Business-type activities:		
Water and wastewater	$	1,534,730
Natural gas		556,957
	$	2,091,687

3.D. ACCOUNTS PAYABLE

Payables in the general fund and nonmajor governmental funds are composed of payables to vendors.

3.E. LONG-TERM DEBT AND LIABILITIES

The reporting entity's long-term debt is segregated between the amounts to be repaid from governmental activities and amounts to be repaid from business-type activities.

Long-Term Debt

As of June 30, 2024, the City's long-term debt of the financial reporting entity consisted of the following:

Governmental Activities:

Long-Term Debt

General Obligation Bonds and Capital Outlay Notes

The City has outstanding general obligation refunding bonds and capital outlay notes from direct borrowings and direct placements related to governmental activities totaling $9,666,000. Direct borrowings related to business-type activities include capital outlay notes and state revolving loans totaling $757,413 and water/sewer system refunding bonds of $27,310,000.

General obligation bonds, capital outlay notes and other loans are direct obligations and pledge the full faith and credit of the government. The City's direct borrowings related to governmental and business- type activities require the same pledge of the full faith and credit; however, none of the direct borrowings contain any provision for acceleration of payments of principal or are secured by collateral. All bonds and other loans included in long-term debt as of June 30, 2024 will generally be retired from governmental or enterprise fund cash.

During the prior year the City authorized issuance of a $6,000,000 TN Municpal Bond Fund Debt. This debt has an interest rate of 4.35% and have a maturity date of 4/1/2048. As of June 30, 2024 the City had drawn $925,383 and paid $227,000 in principal. This debt was issued for various capital projects.

During the current year the City authorized issuance of a $5,000,000 TN Municpal Bond Fund Debt for the water and sewer fund. This debt has an interest rate of 4.35% and have a maturity date of 6/1/2043. As of June 30, 2024 the City had only drawn $51,000. This debt was issued for various capital projects.

Debt outstanding as of June 30, 2024 consisted of the following:

	Interest Rates	Maturity Date	Original Issue	Balance 6/30/2024
Govermental Acitivities				
General Obligation Bonds:				
General Obligiation Refunding Bonds, Series 2014	3.50%	4/1/2045	$ 7,410,000	$ 5,860,000
General Obligiation Refunding Bonds, Series 2020	2.65-4.00%	6/30/2050	3,780,000	3,485,000
Direct Borrowings:				
TMBF Loan #80 (still drawing as of 6/30/2024)	2.85%	6/1/2043	6,000,000	698,383
			$ 17,190,000	$ 10,043,383
Business-type Activities:				
Water and Sewer System Refunding Bonds:		4/1/2046		
Refunding Bonds, Series 2016	3.00%	4/1/2046	$ 14,405,000	$ 10,835,000
Refunding Bonds, Series 2016	2.63%	4/1/2050	16,930,000	15,605,000
Direct Borrowiings:				
Capital outlay note - equipment	2.48%	6/15/2025	237,000	47,400
State Revolving Loan Fund	1.70%	10/1/2031	1,500,000	542,733
TMBD Loan (still drawing as of 6/30/24)	4.35%	4/1/2048	1,500,000	51,000
			$ 34,572,000	$ 27,081,133

For governmental activities, net pension liability, net OPEB liability, and compensated absences are generally liquidated by the general fund.

Changes in long-term liabilities

A summary of long-term liability activity, including debt, for the year ended June 30, 2024 is as follows. Additional detailed information is available following the summary.

	Balance 7/1/2023	Issued or Additions	Retirements	Balance 6/30/2024	Due within one year
Governmental Activities:					
General obligation bonds	$ 9,615,000	$ -	$ 270,000	$ 9,345,000	$ 280,000
Plus Bond Premium	187,416	-	6,899	180,517	6,899
Less bond discount	(29,860)	-	(1,100)	(28,760)	(1,099)
Total bonds payable	9,772,556	-	275,799	9,496,757	285,800
Notes	51,000	874,383	227,000	698,383	-
Compensated absences	322,137	39,866	-	362,003	-
Net pension liability	126,227	224,456	-	350,683	-
Net OPEB liability	952,924	134,774	-	1,087,698	-
Total long-term liabilities	$ 11,224,844	$ 1,273,479	$ 502,799	$11,995,524	$ 285,800

	Balance 7/1/2023	Issued or Additions	Retirements	Balance 6/30/2024	Due within one year
Business-type activities:					
Water & Sewer Refunding &					
Improvement Bonds	$ 27,310,000	$ -	$ 870,000	$ 26,440,000	$ 885,000
Plus Bond Premium	1,650,930	-	115,170	1,535,760	115,171
Less Bond Discount	(4,966)	-	(390)	(4,576)	(390)
Total Bonds Payable	28,955,964	-	984,780	27,971,184	999,781
Notes and Loans from Direct Borrowings					
State Revolving Loan	611,613	-	68,880	542,733	68,880
Capital Outlay Notes	145,800	-	47,400	98,400	47,400
Compensated absences	115,025	7,050	-	122,075	-
Net pension liability	4,213	106,089	-	110,302	-
Post retirement benefit - ins.	471,476	66,696	-	538,172	-
Total long-term liabilities	$ 30,304,091	$ 179,835	$ 1,101,060	$ 29,382,866	$ 1,116,061

The bond resolution authorizing the Water and Sewer System Refunding and Improvement Bonds, Series 2016 shown above requires the City to establish a Debt Service Reserve Fund, a Bond and Interest Sinking Fund, and requires the City to establish rates to its customers in order to maintain a debt service coverage ratio of no less than 1.2 to 1.0 for the 2006 bonds and all prior lien bonds and 1 to 1 for all other obligations. These refunding bonds defeased certain outstanding bonds, which were retired in October 2016.

Other
The Town has no unused lines of credit.

Outstanding notes from direct borrowings through the State of Tennessee Revolving Loan Program contain a provision that in the event of default, the State of Tennessee shall withhold such sum or part of sum from any State-Shared Taxes which are otherwise apportioned to the Local Government and pay only such sums necessary to liquidate the delinquency of the Local Government to the Tennessee Local Development Authority for deposit into the fund.

The government's other outstanding note and bonds from direct borrowings and direct placements contain provisions that, upon event of default, the lender may declare all unpaid principal and interest to be immediately due and payable as well as pursue all available legal and equitable remedies.

3.F. INTERFUND TRANSACTIONS AND BALANCES

GOVERNMENT-WIDE FINANCIAL STATEMENTS

	TRANSFER FROM Business-type Activities
TRANSFER TO	
Governmental Activities	$ 419,693

The transfers from the Business-type Activities to the Governmental Activities were for in lieu of taxes of $417,371 and transfers of capital assets with a net book value of $2,322.

FUND FINANCIAL STATEMENTS

	TRANSFER FROM			
	General	Water and Sewer	Gas	Totals
TRANSFER TO				
General Fund	$ -	$ 200,697	$ 216,674	$ 417,371
Debt Service	887,229	-	-	887,229
Golf Course	271,000	-	-	271,000
Airport Fund	106,000	-	-	106,000
	$ 1,264,229	$ 200,697	$ 216,674	$ 1,681,600

The transfer from General Fund to the Debt Service Fund was for debt payments. The transfer from General Fund to the Golf Course Fund was for operating transfers. The transfer from the General Fund to the Airport Fund was for operating transfers. The transfers from the Proprietary Funds to the General Fund were for in lieu of taxes.

Interfund Payables

	DUE FROM						
	General	Airport	Solid Waste	Water Wastewater	Gas	Debt Service	**Totals**
DUE TO							
E Citation	$ 85	$ -	$ -	$ -	$ -	$ -	$ 85
General Fund	-	-	-	-	-	430,453	430,453
Water/Wastewater	1,191	195	25	-	54	-	1,465
Gas	1,221	193	42	271	-	-	1,727
	$ 2,497	$ 388	$ 67	$ 271	$ 54	$ 430,453	$ 433,730

All balances resulted from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made. These balances will be repaid within one year.

NOTE 4. OTHER NOTES

4.A. EMPLOYEE PENSION AND OTHER BENEFIT PLANS

Plan Description

Employees of the City are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated, Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at www.treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies.

Benefits provided

Tennessee Code Annotated Title 8, Chapters 34-37 establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by a formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service related disability benefits are provided regardless of length of service. Five years of service is required for non-service related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees Covered by Benefit Terms. At the measurement date of June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	80
Inactive employees entitled to but not yet receiving benefits	131
Active Employees	166
Total Employees	377

Contributions. Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. The City makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2024, employer contributions for the City were $434,670 based on a rate of 4.87 percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept the City's state shared taxes if required employer contributions are not remitted. The employer's ADC and member contributions are expected to finance the cost of benefits earned by during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

The City's net pension liability (asset) was measured as of June 30, 2023, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions The total pension liability as of June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.25 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on Age, including inflation, averaging 4.00 percent
Investment rate of return	6.75 percent, net of pension plan investment, expenses Including inflation
Cost-of-Living Adjustment	2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2023 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset Class	Long-Term Expected Real Rate of Return	Target Allocations
U.S. equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real estate	4.38%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the factors described above

Discount rate. The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Portland will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan’s fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in the Net Position Liability (Asset)

	Total Pension Liability	Plan Fiduciary Net Position	Net Pension Liability(Asset)
Balance at 6/30/22	$ 25,801,131	$ 25,671,545	$ 129,586
Changes for the year:			
Service cost	769,409	-	769,409
Interest	1,758,067	-	1,758,067
Change in plan provisions	-	-	-
Differences between expected and actual experience	395,770	-	395,770
Change in assumptions	-	-	-
Contributions - employer	-	434,670	(434,670)
Contributions - employees	-	452,379	(452,379)
Net investment income	-	1,719,626	(1,719,626)
Benefit payments, including refunds of employee contributions	(1,050,215)	(1,050,215)	-
Administrative expense	-	(14,827)	14,827
Net changes	1,873,031	1,541,633	331,398
Balance at 6/30/23	$ 27,674,162	$ 27,213,178	$ 460,984

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate. The following presents the net pension liability (asset) of the City calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1- percentage- point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Net Pension Liability (Asset)	$ 4,704,747	$ 460,984	$ (2,988,345)

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension expense. For the year ended June 30, 2024, the City recognized negative pension expense of $663,452.

Deferred Outflows of Resources and Deferred Inflows of Resources. For the year ended June 30, 2024, Portland reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 1,092,196	$ 59,881
Net difference between projected and actual earnings on pension plan investments	195,988	-
Changes in assumptions	1,162,027	-
Contributions subsequent to the measurement date of June 30, 2023	565,063	-
Total	$ 3,015,274	$ 59,881

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2023," will be recognized as a reduction (increase) to net pension liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:	
2025	$ 376,049
2026	269,157
2027	1,097,962
2028	534,084
2029	56,539
Thereafter	56,539

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

Payable to the Pension Plan

At June 30, 2024, Portland reported a payable of $87,642 for the outstanding amount of contributions to the pension plan required at the year ended June 30, 2024.

NOTE 4.B. - OTHER POST-EMPLOYMENT BENEFITS

Local Government OPEB Plan (LGOP)

Plan description - Employees of the City of Portland, who were hired prior to July 1, 2015, are provided with pre-65 retiree health insurance benefits through the closed Local Government OPEB Plan (LGOP) administered by the Tennessee Department of Finance and Administration. This plan is considered to be a multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible pre-65 retired employees and disability participants of local governments, who choose coverage, participate in the LGOP. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits provided - The City of Portland offers the LGOP to provide health insurance coverage to eligible pre-65 retirees and disabled participants of local governments. Insurance coverage is the only postemployment benefit provided to retirees. An insurance committee created in accordance with TCA 8-27-701 establishes and amends the benefit terms of the LGOP. All members have the option of choosing between the premier preferred provider organization (PPO), standard PPO, limited PPO or the wellness health savings consumer-driven health plan (CDHP) for healthcare benefits. Retired plan members, of the LGOP, receives the same plan benefits as active employees, at a blended premium rate that considers the cost of all participants. This creates an implicit subsidy for retirees. Participating employers determine their own policy related to direct subsidies provided for the retiree premiums. The LGOP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement No. 75.

Employees covered by benefit terms - At July 1, 2023, the following employees of City of Portland were covered by the benefit terms of the LGOP:

Inactive employees currently receiving benefit Payments	11
Inactive employees entitled to but not yet receiving benefit payments	-
Active Employees	168
Total	179

An insurance committee, created in accordance with TCA 8-27-701, establishes the required payments to the LGOP by member employers and employees through the blended premiums established for active and retired employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to establish premium rates. For the fiscal year ended June 30, 2024, the City of Portland paid $106,016 to the LGOP for OPEB benefits as they came due.

Actuarial assumptions - The total OPEB liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.25%
Salary increases	Graded salary ranges from 3.44 to 8.72 percent based on age, including inflation, averaging 4 percent
Healthcare cost trend rates	10.31% for pre-65 for 2023, decreasing annually Over an 11-year period to an ultimate rate of 4.50. 12.44% for post-65 in 2023 decreasing annually over an 11 year period to an ultimate Rate of 4.50%
Retiree's share of benefit-related costs	Members are required to make monthly contributions in order to maintain their coverage. For the purpose of this Valuation a weighted average has been used with weights derived from the current distribution of members among plans offered.

Unless noted otherwise, the actuarial demographic assumptions used in the June 30, 2023, valuations were the same as those employed in the July 1, 2022 Pension Actuarial Valuation of the Tennessee Consolidated Retirement System (TCRS). These assumptions were developed by TCRS based on the results of an actuarial experience study for the period July 1, 2016 - June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience. Mortality tables are used to measure the probabilities of participants dying before and after retirement. The mortality rates employed in this valuation are taken from the PUB-2010 Headcount-Weighted Employee Mortality Table for General Employees for non- disabled post-retirement mortality, with mortality improvement projected generationally with MP-2021 from 2010. Post-retirement tables are Headcount-Weighted Below Median Healthy Annuity and adjusted with a 6% load for males and a 14% load for females projected generationally from 2010 with MP-2021. Mortality rates for impaired lives are the same as those used by TCRS and are taken from a gender distinct table published in the IRS Ruling 96-7 for disabled lives with a 10% load, projected generationally from 2018 with MP-2021.

Discount rate - The discount rate used to measure the total OPEB liability was 3.65 percent. This rate reflects the interest rate derived from yields on 20-year, tax-exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/Aa as shown on the Bond Buyer 20-Year Municipal GO AA index.

Changes in Total OPEB Liability

	Total OPEB Liability (a)
Beginning balance	$ 1,295,527
Changes for the year:	
Service cost	106,079
Interest	47,090
Changes in benefit terms	-
Differences between expected and actual experience	40,151
Change in assumptions	163,455
Benefit payments	(144,031)
Net changes	212,744
Ending balance	$ 1,508,271

Changes in assumptions - The discount rate was changed from 3.54% as of the beginning of the measurement period to 3.65% as of June 30, 2023. This change in assumption increased the total OPEB liability. Other changes in assumptions include adjustment to initial per capita cost and health trend rates.

Sensitivity of total OPEB liability to changes in the discount rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.65%) or 1-percentage-point higher (4.65%) than the current discount rate.

	1% Decrease (2.65%)	Discount Rate (3.65%)	1% Increase (4.565%)
Total OPEB Liability	$ 1,647,316	$ 1,508,271	$ 1,380,857

Sensitivity of total OPEB liability to changes in the healthcare cost trend rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a healthcare cost trend rate that is 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rate.

	1% Decrease (9.31%/11.44% decreasing to 3.50%)	Healthcare Cost Trend Rates (10.31%/12.44% decreasing to 4.50%)	1% Increase (11.31%/13.44% decreasing to 5.50%)
Total OPEB Liability	$ 1,331,888	$ 1,508,271	$ 1,721,743

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

OPEB expense - For the fiscal year ended June 30, 2024, the City recognized OPEB expense of $39,069.

Deferred outflows of resources and deferred inflows of resources - For the fiscal year ended June 30, 2024, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the LGOP from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between actual and expected experience	$ 134,788	$ 280,585
Changes of assumptions	249,355	541,115
Employer payments subsequent to the measurement date	106,016	-
Total	$ 490,159	$ 821,700

The amounts shown above for "Employer payments subsequent to the measurement date" will be recognized as a reduction to total OPEB liability in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year ended		
2025	$	(114,100)
2026		(114,100)
2027		(90,754)
2028		(36,824)
2029		(51,333)
Thereafter		(30,446)

In the table above, positive amounts will increase OPEB expense while negative amounts will decrease OPEB expense.

Tennessee Plan (TNP)

Plan description - Employees of the City of Portland, who were hired prior to July 1, 2015, are provided with post-65 retiree health insurance benefits through the closed Tennessee Plan (TNP) administered by the Tennessee Department of Finance and Administration. This plan is considered a multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible post-65 retirees and disability participants of local governments, who choose coverage, participate in the TNP. The TNP also includes eligible retirees of the state, certain component units of the state, and local education agencies. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits provided - The state offers the TNP to help fill most of the coverage gaps created by Medicare for eligible post-65 retirees and disabled participants of local governments. Insurance coverage is the only postemployment benefit provided to retirees. The TNP does not include pharmacy. In accordance with TCA 8-27-209, benefits of the TNP are established and amended by cooperation of insurance committees created by TCA 8-27-201, 8-27-301 and 8-27-701. Retirees and disabled employees of the state, component units, local education agencies, and certain local governments who have reached the age of 65, are Medicare eligible and also receive a benefit from the Tennessee Consolidated Retirement System may participate in this plan. All plan members receive the same plan benefits at the same premium rates. Participating employers determine their own policy related to subsidizing the retiree premiums. The TNP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement No. 75.

Employees covered by benefit terms - At July 1, 2023, the following employees of the City of Portland were covered by the benefit terms of the TNP:

Inactive employees currently receiving benefits	3
Inactive employees entitled to but not yet receiving benefits	18
Active employees	88
Total	109

In accordance with TCA 8-27-209, the state insurance committees established by TCAs 8-27-201, 8-27-301 and 8-27-701 determine the required payments to the plan by member employers and employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to establish premium rates. Administrative costs are allocated to plan participants. Employers contribute towards employee costs based on their own developed policies. During the current reporting period, the City of Portland paid $2,269 to the TNP for OPEB benefits as they came due.

Actuarial assumptions - The collective total OPEB liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified.

Inflation	2.25%
Salary increases	Graded salary ranges from 3.44 to 8.72 percent Based on age, including inflation, averaging 4 percent.
Healthcare cost trend rates	The premium subsidies provided to retirees in the Tennessee Plan are assumed to remain unchanged for the entire projection; therefore, trend rates are not applicable.

Unless noted otherwise, the actuarial demographic assumptions used in the June 30, 2023, valuations were the same as those employed in the July 1, 2020 Pension Actuarial Valuation of the Tennessee Consolidated Retirement System (TCRS). These assumptions were developed by TCRS based on the results of an actuarial experience study for the period July 1, 2016 - June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience. Mortality tables are used to measure the probabilities of participants dying before and after retirement. The mortality rates employed in this valuation are taken from the PUB-2010 Headcount-Weighted Employee mortality table for General Employees non- disabled post-retirement mortality, with mortality improvement projected to all future years using Scale MP-2021 from 2010. Post-retirement tables are Headcount-Weighted Below Median Healthy Annuitant and adjusted with a 6% load for males and a 14% load for females, projected generationally from 2010 with MP-2021. Mortality rates for impaired lives are the same as those used by TCRS and are taken from a gender distinct table published in the IRS Ruling 96-7 for disabled lives with a 10% load, projected generationally from 2018 with MP-2021.

Discount rate - The discount rate used to measure the total OPEB liability was 3.65 percent. This rate reflects the interest rate derived from yields on 20-year, tax-exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/Aa as shown on the Bond Buyer 20- Year Municipal GO AA index.

Changes in the Total OPEP Liability

	Total OPEB Liability (a)
Beginning balance	$ 128,874
Changes for the year:	
Service cost	3,372
Interest	4,642
Changes of benefit terms	-
Differences between expected and actual experience	(15,487)
Change in assumptions	(1,575)
Benefit payments	(2,241)
Net changes	(11,289)
Ending Balance	$ 117,585

Changes in assumptions - The discount rate was changed from 3.54% as of the beginning of the measurement period to 3.65 % as of June 30, 2023. This change in assumption decreased the total OPEB liability.

Sensitivity of total OPEB liability to changes in the discount rate - The following presents the total OPEB liability related to the TNP, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current discount rate.

	1% Decrease (2.65%)	Discount Rate (3.65%)	1% Increase (4.65%)
Total OPEB liability	$ 136,402	$ 117,585	$ 102,097

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

OPEB expense - For the fiscal year ended June 30, 2024, the City recognized OPEB expense of $2,616.

Deferred outflows of resources and deferred inflows of resources - For the fiscal year ended June 30, 2024, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the TNP from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$ 37,246	$ 13,686
Changes of assumptions	52	59,347
Employer payments subsequent to the measurement date	2,269	-
Total	$ 39,567	$ 73,033

The amounts shown above for "Employer payments subsequent to the measurement date" will be recognized as a reduction to total OPEB liability in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

For the year ended June 30:	
2025	$ (5,398)
2026	(5,465)
2027	(4,481)
2028	(4,489)
2029	(4,704)
Thereafter	(11,198)

In the table above, positive amounts will increase OPEB expense while negative amounts will decrease OPEB expense.

4.C. RISK MANAGEMENT

The City is exposed to various risks to general liability and property and casualty losses. The City deems it was more economically feasible to participate in a public entity risk pool as opposed to purchasing commercial insurance for general liability, property, casualty and workman's compensation coverage. The City participates in the Public Entity Partners Risk Management Pool (the "Pool"), a public entity risk pool currently operating a workers' compensation common risk management and insurance program. The City pays an annual premium to the Pool for its general liability, law enforcement liability, errors and omissions liability, auto liability, workers' compensation and property coverage. The City's workers' compensation coverage is retrospectively rated, whereby premiums are accrued based on the ultimate costs of the experience of the City. Claims arising are paid by the Pool. The Pool has the right to assess participants for loss experience in excess of premiums collected. The City also obtains commercial insurance coverage for accidents and sick-leave for volunteer firemen. Settled claims have not exceeded this commercial coverage in any of the past three fiscal years.

4.D. COMMITMENTS AND CONCENTRATIONS

Commitments

The City is committed to future capital expenditures for projects ongoing at June 30, 2024.

The City received Federal Funding from the American Rescue Plan Act (ARPA) in the amount of $3,866,176.42 for various projects. As of June 30, 2024, total expenditures are $ 812,515.85.

The City (Gas) was awarded State funding for SIA Project Commodore for an estimated total cost of $96,807.00 with a 100% State reimbursement. As of June 30, 2024, total expenditures were. $54,533.

The City (Water) was awarded State funding for SIA Project Commodore for an estimated total cost of $792,832.40 which includes the amount of $65,769.37 for the cost of engineering, $50,613.03 for the cost of inspection, and the amount of $676,450.00 for the cost of construction. Of which 74% represents the pro-rata share to which the Utility is entitled to reimbursement. As of June 30, 2024, total expenditure was $452,633.

The City (Sewer) was awarded State funding for SIA Project Commodore for an estimated total cost of $282,498.82 which includes the amount of $66,531.00 for the cost of engineering, $30,367.82 for the cost of inspection, and the amount of $185,600 for the cost of construction. Of which 88% represents the pro-rata share to which the Utility is entitled to reimbursement. As of June 30, 2024, total expenditure was $56,749.

The City was awarded Federal funding for "Scattersville Road Paving" which includes New Deal Potts Rd Paving. Federal funding of 80% and Local share is 20% with total estimated Cost at $128,500.00 with 1st amendment of $339,000.00. As of June 30, 2024, total expenditures are $408,141.38.

The City was awarded Federal and State funding for "Downtown Rail Crossings" for TN Rail Crossing Safety Manager. Federal funding of 90% for Design and Construction Oversight at East McGlothlin St for a total estimated cost of $34,685.00. As of June 30, 2024, total expenditures are $25,794.50.

The City was awarded Federal and State funding for "Downtown Rail Crossings" for TN Rail Crossing Safety Manager. Federal funding of 90% for Design and Construction Oversight at Main St for a total estimated cost of $72,000. As of June 30, 2024, total expenditures are $20,500.

The City was awarded Federal and State funding for "Downtown Rail Crossings" for TN Rail Crossing Safety Manager. Federal funding of 90% for Design and Construction Oversight at E Market St for a total estimated cost of $54,350.50. As of June 30, 2024, total expenditures are $40,721.68.

The City received Federal funding for “College Street Sidewalks” with 80% Federal funding and 20% local share totaling $1,139,215.00. As of June 30, 2024, total expenditures are $122,735.10.

The City was awarded Federal funding for “Resurfacing Kirby Rd, S. Russell St” with 80% Federal funding and 20% Locally funded at total estimated cost of $710,031.00. As of June 30, 2024, total expenditures are $74,422.59.

The City was awarded 100% Federal funding for “CMAQ-SR-109 from SR-52 to College St” at total estimated cost of $762,662.50. As of June 30, 2024, the City had expended $65,251.85.

The City has a project for construction on 109 Bypass – North Loop for Gas, Water and Sewer with an estimated cost of $1,895,393 and a project for construction on 109 Bypass – South Loop for Gas and Water with an estimated cost of $317,874.

The City has been awarded State funding for LPRF (Local Parks and Recreation) of $1,586,800. State funding is 50% ($1,586,800) with a local match of 50% ($1,586,800). As of June 30, 2024, total expenditures are $36,185.

The City has been awarded Federal and State funding for “Airport ALP (Airport Layout Plan) Update”. Federal funding of 100% for $150,000.00 and State funding of 100% for $160,554.00, along with a local portion or $16,346.00 totaling $326,900.00. As of June 30, 2024, total expenditures are $137,426.00.

The City was awarded Federal and State funding for a Water Resources Protection Grant of $5,000,000. Of which, $750,000 represents the City’s match. As of June 30, 2024, total expenditures are $103,080.

The City of Portland and Sumner County Government have adopted the Tax Increment Financing Program established by the Industrial Development Board (IDB) of Sumner County. TIF is an economic development tool that allocates all or a portion of the new, additional taxes generated by a development over a specified period of time to pay for infrastructure such as utility and road improvements related to that development.

The TIF Program is primarily for the economic development projects that provide improvements in underutilized areas. This program applies only to projects initiated by a private developer and supported by tax increment property tax revenues. It is a discretionary program and does not create or vest any rights in any person or entity.

4.E. TAX ABATEMENTS

TAX ABATEMENTS

The City of Portland (City) is a separate entity from the Industrial Development Board (IDB) of Portland, the Industrial Development Board of Robertson County, and the Industrial Development Board of Sumner County. These Boards enter into tax agreements that affect the City of Portland. Any decisions made between the IDB (County or City) and the requestor are not voted on by the City Council nor does the City of Portland have any power to change any IDB agreements. The Portland IDB has its own Charter and acts on its own accord without the direction of the City of Portland. Once a tax agreement is established between the IDB and the requestor, it is sent to the Tennessee Comptroller for approval. The Comptroller sends the approved agreement to the County Assessor. The City of Portland must request the approved agreement in order to have a copy. The City’s tax revenue for the year ended June 30, 2024 was reduced by $567,215 as a result of tax abatements.

Currently, the City of Portland has the following tax agreements:

<u>Robertson County</u>

- Arrowhead Engineered Projects, Inc. – The abatement commenced in June 2023 with the following terms on tax abatement with property (facility) and personal property (equipment):
  - Facility

Effective date through June 30, 2023	0% Abatement
July 1, 2023 through December 31, 2023	0% Abatement
2024	100% Abatement
2025	85% Abatement
2026	70% Abatement
2027	50% Abatement
2028	30% Abatement
2029	10% Abatement
2030-2033	0% Abatement
From and after January 1, 2034	0% Abatement

  - Equipment

Effective date through June 30, 2023	0% Abatement
July 1, 2023 through December 31, 2023	0% Abatement
2024	100% Abatement
2025	100% Abatement
2026	100% Abatement
2027	50% Abatement
From and after January 1, 2028	0% Abatement

- Dorman Products (RB Distribution, Inc) – The abatement commenced in November 2017 with the following terms on tax abatement with personal property (equipment):

Effective date through December 31, 2023	100% Abatement
January 1, 2024 through December 31, 2025	80% Abatement
January 1, 2026 through December 31, 2027	60% Abatement
January 1, 2028 through the end of the the facility lease term	40% Abatement

- Kyowa America Corporation – The abatement commenced in June 2012 with the following terms on tax abatement with property (facility) and personal property (equipment):
  - Facility

Lease Years 1-5	100% Abatement
Lease Year 6	80% Abatement
Lease Year 7	60% Abatement
Lease Years 8-10	40% Abatement
Lease Years 11 and thereafter	0% Abatement

  - Equipment

Operations Years 1-5	100% Abatement
Operations Year 6	80% Abatement
Operations Year 7	60% Abatement
Operations Year 8-10	40% Abatement
Operations Years 11 and thereafter	0% Abatement
For Equipment first placed in operations after December 31, 2014	0% Abatement

- Shoals Technologies Group, LLC -The abatement commenced in December 2011 with the following terms on tax abatement with property (facility) and personal property (equipment):
    - Facility and Equipment

January 1, 2012 through December 31, 2021	100% Abatement
January 1, 2022 through December 31, 2022	80% Abatement
January 1, 2023 through December 31, 2023	60% Abatement
January 1, 2024 through December 31, 2026	40% Abatement
January 1, 2027 and thereafter	0% Abatement

Sumner County

- Shoals Technologies Group, LLC -The abatement commenced on December 2011 with the following terms on tax abatement with property (facility) and personal property (equipment):
    - Facility and Equipment

January 1, 2012 through December 31, 2021	100% Abatement
January 1, 2022 through December 31, 2022	80% Abatement
January 1, 2023 through December 31, 2023	60% Abatement
January 1, 2024 through December 31, 2026	40% Abatement
January 1, 2027 and thereafter	0% Abatement

- Stevison Ham Company - The abatement commenced in 2016 with the following terms on tax abatement with property (facility) and personal property (equipment):
    - Facility

Lease Years 1-5	100% Abatement
Lease Year 6	80% Abatement
Lease Year 7	60% Abatement
Lease Years 8-10	40% Abatement
Lease Years 11 and thereafter	0% Abatement

- Equipment

2017- 2021	100% Abatement
2022	80% Abatement
2023	60% Abatement
2024 – 2026	40% Abatement
Operations Years 11 and thereafter	0% Abatement
For Equipment first placed in operations after December 31, 2016	0% Abatement

- North American Stamping Group, LLC and NASG Tennessee North 2, LLC - The abatement commenced in December 2013 with the following terms on tax abatement with property (facility) and personal property (equipment):
    - Facility

January 1, 2014 through December 31, 2018	100% Abatement
January 1, 2019 through December 31, 2019	80% Abatement
January 1, 2020 through December 31, 2020	60% Abatement
January 1, 2021 through December 31, 2023	40% Abatement
January 1, 2024 and thereafter	0% Abatement

    - Equipment

Operations Years 1-5	100% Abatement
Operations Year 6	80% Abatement
Operations Year 7	60% Abatement
Operations Year 8-10	40% Abatement
Operations Years 11 and thereafter	0% Abatement
For Equipment first placed in operations after December 31, 2014	0% Abatement

- U.S. Tsubaki Automotive, LLC – The abatement commenced in April 2020 with the following terms with property (facility) and personal property (equipment).(NOTE: Agreement was amended in May 2022 for the personal property). The amended agreement terms are below:
    - Facility

2020 – 2024	100% Abatement
2025	80% Abatement
2026	60% Abatement
2027	40% Abatement
2028	20% Abatement
2029 and thereafter	0% Abatement

    - Equipment (as amended)

2021 - 2025	100% Abatement
2026 and thereafter	0% Abatement

4.F. RELATED PARTY TRANSACTION

The City paid Luther Bratton $64,500 for various land easements for ongoing projects. Luther Bratton serves on the City's planning commission which approves future developments for the City.

4.G. PRIOR PERIOD ADJUSTMENTS

The City has made prior period adjustments to correct errors in previous year's financial statements. They are listed as follows:

Government-Wide

Governmental Activities

The City made a prior period adjustment to record the return of escrow money from the Tennessee Department of Transportation. The City had previously expensed this payment of escrow funds. The entry made was to debit cash and credit net position in the amount of $70,000. The City made another prior period adjustment to properly record a grant receivable for the prior year. The entry made was to debit cash and credit net position for $43,021.

Business-type Activities

The City made a prior period adjustment to record the return of escrow money from the Tennessee Department of Transportation. The City had previously expensed this payment of escrow funds. The entry made was to debit cash and credit net position in the amount of $96,569. The City made another prior period adjustment to properly record expenses that were recorded in construction in progress for ongoing construction in progress projects. The City cancelled these projects during the year. The entry made was to debit net position for $257,314.

Governmental Funds

General Fund

The City made a prior period adjustment to record the return of escrow money from the Tennessee Department of Transportation. The City had previously expensed this payment of escrow funds. The entry made was to debit cash and credit fund balance in the amount of $70,000. The City made another prior period adjustment to properly record a grant receivable for the prior year. The entry made was to debit cash and credit fund balance for $43,021.

Propriety Funds

Water and Sewer Fund

The City made a prior period adjustment to record the return of escrow money from the Tennessee Department of Transportation. The City had previously expensed this payment of escrow funds. The entry made was to debit cash and credit net position in the amount of $87,895. The City made another prior period adjustment to properly record expenses that were recorded in construction in progress for ongoing construction in progress projects. The City cancelled these projects during the year. The entry made was to debit net position for $257,314.

Gas Fund

The City made a prior period adjustment to record the return of escrow money from the Tennessee Department of Transportation. The City had previously expensed this payment of escrow funds. The entry made was to debit cash and credit net position in the amount of $8,674.

	6/30/2023 As Previously Reported	Error Correction	6/30/2023 As Restated
Government-Wide			
Governmental Activities	$ 44,526,807	$ 113,021	$ 44,639,828
Business-type Activities	47,758,705	(160,745)	47,597,960
Total Primary Government	$ 92,285,512	$ (47,724)	$ 92,237,788
Governmental Funds			
Major Funds:			
General Fund	$ 10,346,159	$ 113,021	$ 10,459,180
Airport	106,482	-	106,482
Nonmajor Funds	2,015,835	-	2,015,835
Total Governmental Funds	$ 12,468,476	$ 113,021	$ 12,581,497
Proprietary Funds			
Major Funds:			
Water and Sewer Fund	$ 28,233,759	$ (169,419)	$ 28,064,340
Gas Fund	19,524,946	8,674	19,533,620
Total Proprietary Funds	$ 47,758,705	$ (160,745)	$ 47,597,960
Fiduciary Funds			
Agency Fund	$ -	$ -	$ -

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN THE CITY'S TOTAL OPEB LIABILITY (ASSET) AND RELATED RATIOS - LGOP OPEB PLAN
JUNE 30, 2024

LGOP

	2018	2019	2020	2021	2022	2023	2024
Total OPEB liability							
Service cost	$ 149,187	$ 141,202	$ 152,342	$ 38,114	$ 157,085	$ 145,312	$ 106,079
Interest	70,860	85,728	82,955	17,636	42,311	36,340	47,090
Change in benefit terms	-	-	(1,365,252)	1,000,152	30,040	(4,650)	-
Differences between actual and expected experience	-	3,512	(475,369)	112,672	62,631	(146,020)	40,151
Change in assumptions	(106,826)	(225,062)	19,405	191,539	(407,197)	(213,937)	163,455
Benefit payments, including refunds of employee contributions	(117,143)	(130,554)	(136,753)	(40,341)	(93,859)	(116,621)	(144,031)
Net change in total OBEP liability	(3,922)	(125,174)	(1,722,672)	1,319,772	(208,989)	(299,576)	212,744
Total OPEB liability, beginning	2,336,088	2,332,166	2,206,992	484,320	1,804,092	1,595,103	1,295,527
Total OPEB liability, ending	$ 2,332,166	$ 2,206,992	$ 484,320	$ 1,804,092	$ 1,595,103	$ 1,295,527	$ 1,508,271
Covered payroll	$ 6,901,160	$ 7,688,246	$ 7,705,243	$ 7,793,956	$ 8,370,388	$ 8,929,601	$ 9,941,045
Total OPEB liability as a percentage of covered payroll	33.79%	28.71%	6.29%	23.15%	19.06%	14.51%	15.17%

Notes to Schedule:

1. There are no assets accumulating in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to OPEB plan.
2. The amounts reported for each fiscal year were determined as of the prior fiscal year-end.
3. This schedule is intended to display ten years of information. Additional years will be displayed as they become available.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN TOTAL OPEB LIABILITY (ASSET) AND RELATED RATIOS - TNP OPEB PLAN
JUNE 30, 2024

TNP

	2018	2019	2020	2021	2022	2023	2024
Total OPEB liability							
Service cost	$ 6,603	$ 5,095	$ 3,932	$ -	$ 9,089	$ 5,799	$ 3,372
Interest	3,727	4,844	5,279	400	3,175	3,249	4,642
Change in benefit terms	-	-	(144,994)	94,452	-	-	-
Differences between actual and expected experience	-	3,156	5,776	1,689	41,666	5,318	(15,487)
Change in assumptions	(15,184)	(1,399)	127	27,504	(42,616)	(29,536)	(1,575)
Benefit payments, including refunds of employee contributions	(15,300)	(738)	(800)	(447)	(1,307)	(1,175)	(2,241)
Net change in total OBEP liability	(20,154)	10,958	(130,680)	123,598	10,007	(16,345)	(11,289)
Total OPEB liability, beginning	151,490	131,336	142,294	11,614	135,212	145,219	128,874
Total OPEB liability, ending	$ 131,336	$ 142,294	$ 11,614	$ 135,212	$ 145,219	$ 128,874	$ 117,585
Covered payroll	$ 6,901,160	$ 7,688,246	$ 7,705,243	$ 7,793,956	$ 8,370,388	$ 8,929,601	$ 9,941,045
Total OPEB liability as a percentage of covered payroll	1.90%	1.85%	0.15%	1.73%	1.73%	1.44%	1.18%

Notes to Schedule:

1. There are no assets accumulating in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to OPEB plan.
2. The amounts reported for each fiscal year were determined as of the prior fiscal year-end.
3. This schedule is intended to display ten years of information. Additional years will be displayed as they become available.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN NET PENSION LIABILITY (ASSET) AND RELATED RATIOS - CITY PENSION PLAN
JUNE 30

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Total pension liability										
Service cost	$ 389,011	$ 409,779	$ 423,986	$ 578,391	$ 573,359	$ 552,366	$ 606,437	$ 578,661	$ 714,481	$ 769,409
Interest	1,015,953	1,040,811	1,128,066	1,208,654	1,217,498	1,306,593	1,385,853	1,467,352	1,616,736	1,758,067
Differences between actual and expected experience	(439,583)	384,722	36,093	(816,907)	73,950	(139,442)	(46,755)	432,951	742,498	395,770
Change in assumptions	-	-	-	340,869	-	-	-	2,033,545	-	-
Benefit payments, including refunds of employee contributions	(620,533)	(688,881)	(683,337)	(652,758)	(603,825)	(625,990)	(734,715)	(852,540)	(1,019,506)	(1,050,215)
Net change in total pension liability	344,848	1,146,431	904,808	658,249	1,260,982	1,093,527	1,210,820	3,659,969	2,054,209	1,873,031
Total pension liability, beginning	13,467,288	13,812,136	14,958,567	15,863,375	16,521,624	17,782,606	18,876,133	20,086,953	23,746,922	25,801,131
Total pension liability, ending (a)	$ 13,812,136	$ 14,958,567	$ 15,863,375	$ 16,521,624	$ 17,782,606	$ 18,876,133	$ 20,086,953	$ 23,746,922	$ 25,801,131	$ 27,674,162
Plan fiduciary net position										
Contributions - employer	$ 495,742	$ 526,805	$ 587,552	$ 631,603	$ 477,517	$ 331,739	$ 216,616	$ 114,007	$ 66,963	$ 434,670
Contributions - employee	238,795	248,121	276,673	297,087	368,786	383,706	361,678	381,935	424,442	452,379
Net investment income	2,076,912	452,471	405,013	1,804,246	1,491,884	1,460,793	1,043,260	5,625,393	(1,031,965)	1,719,626
Benefit payments, including refunds of employee contributions	(620,533)	(688,881)	(683,337)	(652,758)	(603,825)	(625,990)	(734,715)	(852,540)	(1,019,506)	(1,050,215)
Administrative expense	(4,755)	(5,977)	(9,659)	(11,315)	(12,580)	(12,491)	(13,071)	(13,667)	(15,127)	(14,827)
Net change in plan fiduciary net position	2,186,161	532,539	576,242	2,068,863	1,721,782	1,537,757	873,768	5,255,128	(1,575,193)	1,541,633
Plan fiduciary net position - beginning	12,494,498	14,680,659	15,213,198	15,789,440	17,858,303	19,580,085	21,117,842	21,991,610	27,246,738	25,671,545
Plan fiduciary net position - ending (b)	$ 14,680,659	$ 15,213,198	$ 15,789,440	$ 17,858,303	$ 19,580,085	$ 21,117,842	$ 21,991,610	$ 27,246,738	$ 25,671,545	$ 27,213,178
Net pension liability (asset) - ending (a) - (b)	$ (868,523)	$ (254,631)	$ 73,935	$ (1,336,679)	$ (1,797,479)	$ (2,241,709)	$ (1,904,657)	$ (3,499,816)	$ 129,586	$ 460,984
Plan fiduciary net position as a percentage of total pension liability	106.29%	101.70%	99.53%	108.09%	110.11%	111.88%	109.48%	114.74%	99.50%	98.33%
Covered-employee payroll	$ 4,775,917	$ 4,955,832	$ 5,527,302	$ 5,941,704	$ 6,366,885	$ 6,634,785	$ 7,220,545	$ 7,600,458	$ 8,370,388	$ 8,916,076
Net pension liability (asset) as a percentage of covered-employee payroll	-18.19%	-5.14%	1.34%	-22.50%	-28.23%	-33.79%	-26.38%	-46.05%	1.55%	5.17%

This is a 10-year schedule; however, the information in this schedule is not required to be presented retroactively. Years will be added to this schedule in future years until 10 years of information is available.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF PLAN CONTRIBUTIONS - CITY PENSION PLAN
FISCAL YEAR ENDING JUNE 30

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Actuarially determined contribution	$ 526,805	$ 587,552	$ 620,314	$ 306,247	$ 192,409	$ 177,625	$ 111,727	$ 66,126	$ 434,670	$ 565,063
Contributions in relation to the actuarially determined contribution	(526,805)	(577,156)	(631,603)	(477,517)	(331,739)	(216,616)	(114,007)	(66,963)	(434,670)	(565,063)
Contribution deficiency (excess)	$ -	$ 10,396	$ (11,289)	$ (171,270)	$ (139,330)	$ (38,991)	$ (2,280)	$ (837)	$ -	$ -
Covered-employee payroll	$ 4,955,832	$ 5,527,302	$ 5,941,704	$ 6,366,885	$ 6,634,785	$ 7,220,545	$ 7,600,458	$ 8,370,388	$ 8,916,076	$ 8,929,601
Contributions as a percentage to covered-employee payroll	10.63%	10.44%	10.63%	7.50%	5.00%	3.00%	1.50%	0.80%	4.88%	6.33%

This is a 10-year schedule; however, the information in this schedule is not required to be presented retroactively. Years will be added to this schedule in future years until 10 years of information is available.

Notes to Pension Required Supplementary Information

Valuation date: Actuarially determined contribution rates for fiscal year 2024 were calculated based on the June 30, 2022 actuarial valuation.

Actuarial cost method	Entry Age Normal
Amortization method	Leval dollar amortization
Remaining amortization period	Varies by Year
Asset valuation	10-year smoothed within the 20 percent corridor to market value
Inflation	2.25%
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4%
Investment rate of return	6.75%, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.13%

Assumption changes:
In 2021, the following assumptions were changed: decreased inflation rate from 2.5% to 2.25%; decreased the investment rate of return from 7.25% to 6.75%; decreased the cost-of-living adjustment from 2.25% to 2.125%; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00% to 2.50%; decreased the investment rate of return from 7.50% to 7.25%; decreased the cost-of-living adjustment from 2.50% to 2.25%; decreased salary growth graded ranges from an average of 4.25% to an average of 4.00 percent; and modified mortatlity assumptions.

CITY OF PORTLAND, TENNESSEE
COMBINING BALANCE SHEET
NON-MAJOR GOVERNMENTAL FUNDS
JUNE 30, 2024

ASSETS	Solid Waste Fund	Stormwater Fund	Drug Fund	E-Citation Fund	Golf Course Fund	Impact Fee Fund	Debt Service Fund	Total
Cash and cash equivalents	$ 636,933	$ 439,048	$ 79,455	$ 8,825	$ 68,264	$ 688,967	$ 489,089	$ 2,410,581
Due from other funds	-	-	-	85	-	-	-	85
Accounts receivable, net of uncollectible	106,941	49,245	-	-	-	-	-	156,186
Grant receivables	122,372	95,591	-	-	-	-	-	217,963
Prepaid expenses	-	516	-	-	-	-	-	516
Inventory	23,198	-	-	-	5,555	-	-	28,753
Total assets	$ 889,444	$ 584,400	$ 79,455	$ 8,910	$ 73,819	$ 688,967	$ 489,089	$ 2,814,084
LIABILITIES AND FUND BALANCES								
LIABILITIES								
Accounts payable	$ 45,258	$ 11,680	$ -	$ -	$ 5,013	$ -	$ -	$ 61,951
Accrued liabilities	5,928	9,063	-	-	6,395	-	-	21,386
Due to other funds	67	-	-	-	-	-	430,453	430,520
Unearned revenues	-	-	19,160	-	-	-	-	19,160
Total liabilities	51,253	20,743	19,160	-	11,408	-	430,453	533,017
DEFERRED INFLOWS OF RESOURCES								
Deferred grants	122,372	95,591	-	-	-	-	-	217,963
FUND BALANCES								
Nonspendable								
Inventory	23,198	-	-	-	5,555	-	-	28,753
Prepaids	-	516	-	-	-	-	-	516
Restricted								
Solid waste	692,621	-	-	-	-	-	-	692,621
Stormwater	-	467,550	-	-	-	-	-	467,550
Drug fund	-	-	60,295	-	-	-	-	60,295
E-citation fund	-	-	-	8,910	-	-	-	8,910
Golf course	-	-	-	-	56,856	-	-	56,856
Impact fees	-	-	-	-	-	688,967	-	688,967
Debt service	-	-	-	-	-	-	58,636	58,636
Total fund balances	715,819	468,066	60,295	8,910	62,411	688,967	58,636	2,063,104
Total liabilities and fund balances	$ 889,444	$ 584,400	$ 79,455	$ 8,910	$ 73,819	$ 688,967	$ 489,089	$ 2,814,084

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
NON-MAJOR GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2024

	Special Revenue Funds							
	Solid Waste Fund	Stormwater Fund	Drug Fund	E-Citation Fund	Golf Course Fund	Impact Fees Fund	Debt Service Fund	Total
Revenues								
Intergovernmental revenues	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Fines, fees, and forfeitures	-	-	8,415	2,745	-	124,082	-	135,242
Charges for Services	1,416,253	972,004	-	-	359,428	-	-	2,747,685
Other revenues	35,489	49,703	-	4	-	26,600	243	112,039
Total revenues	1,451,742	1,021,707	8,415	2,749	359,428	150,682	243	2,994,966
Expenditures								
Public safety	-	-	8,560	-	-	15,448	-	24,008
Public works	1,225,252	960,517	-	-	-	-	-	2,185,769
Health, welfare and recreation	-	-	-	-	507,631	-	-	507,631
Debt service	-	-	-	-	-	-	839,543	839,543
Capital outlay	-	206,400	36,570	-	88,096	217,909	-	548,975
Total expenditures	1,225,252	1,166,917	45,130	-	595,727	233,357	839,543	4,105,926
Excess (deficiency) of revenues over (under) expenditures	226,490	(145,210)	(36,715)	2,749	(236,299)	(82,675)	(839,300)	(1,110,960)
Other financing sources (uses)								
Transfer in (out) to other fund	-	-	-	-	271,000	-	887,229	1,158,229
Insurance recoveries	-	-	-	-	-	-	-	-
Sale of capital assets	-	-	-	-	-	-	-	-
Total Other financing sources (uses)	-	-	-	-	271,000	-	887,229	1,158,229
Net Change In Fund Balance	226,490	(145,210)	(36,715)	2,749	34,701	(82,675)	47,929	47,269
Fund Balance at Beginning of Year	489,329	613,276	97,010	6,161	27,710	771,642	10,707	2,015,835
Fund Balance at End of Year	$ 715,819	$ 468,066	$ 60,295	$ 8,910	$ 62,411	$ 688,967	$ 58,636	$ 2,063,104

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
SOLID WASTE FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Charges for services				
Disposal charges	$ 1,340,603	$ 1,340,603	$ 1,416,253	$ 75,650
Other revenues				
Sale of carts	15,000	15,000	14,000	(1,000)
Miscellaneous income	-	-	6,572	6,572
Interest income	-	-	14,917	14,917
Total revenues	1,355,603	1,355,603	1,451,742	96,139
Expenditures				
Salaries	460,222	460,222	356,042	104,180
Payroll taxes	35,207	35,207	25,967	9,240
Employee insurance	121,795	121,795	126,619	(4,824)
Retirement	25,396	25,396	19,286	6,110
Workers compensation	15,000	15,000	13,531	1,469
Employee education	-	-	480	(480)
Postage	18,500	18,500	19,901	(1,401)
Utilities	6,500	6,500	5,343	1,157
Telephone	8,000	8,000	9,267	(1,267)
Technology	1,000	1,000	1,707	(707)
Physicals	1,000	1,000	162	838
Auditing	1,000	1,000	2,108	(1,108)
Data processing	3,000	3,000	3,792	(792)
Other professional services	-	-	25,455	(25,455)
Repairs and maintenance - vehicles	60,000	60,000	71,467	(11,467)
Building maintenance	10,000	10,000	8,950	1,050
Landfill services	440,000	440,000	411,003	28,997
Office supplies	5,000	5,000	378	4,622
Operating supplies	5,000	5,000	7,901	(2,901)
Small items of equipment	-	-	1,612	(1,612)
Uniforms	5,000	5,000	2,641	2,359
Other operating supplies	-	-	14,453	(14,453)
Gas and fuel	65,000	65,000	75,010	(10,010)
Insurance	15,000	15,000	17,314	(2,314)
Bank charges	1,000	1,000	445	555
Bad debt	10,000	10,000	4,418	5,582
Capital outlay	-	-	-	-
Total expenditures	1,312,620	1,312,620	1,225,252	87,368
Excess (deficiency) of revenues over (under) expenditures	42,983	42,983	226,490	183,507
Other financing sources (uses)				
Transfer to other fund	-	-	-	-
Total Other financing sources (uses)	-	-	-	-
Net Change In Fund Balance	42,983	42,983	226,490	(183,507)
Fund Balance at Beginning of Year	489,329	489,329	489,329	-
Fund Balance at End of Year	$ 532,312	$ 532,312	$ 715,819	$ 183,507

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
STORMWATER FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Charges for services				
Fees	$ 815,000	$ 815,000	$ 972,004	$ 157,004
Other revenues				
Interest	-	-	2,417	2,417
Miscellaneous income	-	-	47,286	47,286
Total revenues	815,000	815,000	1,021,707	206,707
Expenditures				
Salaries	466,993	466,993	472,686	(5,693)
Payroll taxes	35,725	35,725	35,784	(59)
Employee insurance	92,472	92,472	111,070	(18,598)
Retirement	26,619	26,619	26,581	38
Workers compensation	11,000	11,000	8,421	2,579
Employee education and training	8,000	8,000	4,000	4,000
Fees	6,500	6,500	3,460	3,040
Postage	750	750	-	750
Dues	1,100	1,100	1,424	(324)
Public relations	1,000	1,000	1,997	(997)
Advertising	250	250	-	250
Utilities	7,250	7,250	4,370	2,880
Telephone	20,000	20,000	9,013	10,987
Technology	1,000	1,000	5,731	(4,731)
Physicals	1,000	1,000	163	837
Auditing	1,000	1,000	2,108	(1,108)
Engineering	-	-	5,823	(5,823)
Data processing	3,000	3,000	4,677	(1,677)
Other professional services	33,000	33,000	77,647	(44,647)
Repair system	100,000	100,000	93,111	6,889
Repairs and maintenance - vehicles	15,000	15,000	11,953	3,047
Repairs and maintenance - equipment	7,500	7,500	18,825	(11,325)
Building maintenance	-	-	853	(853)
Travel	5,000	5,000	1,958	3,042
Meeting expense	500	500	59	441
Office supplies	1,000	1,000	2,298	(1,298)
Operating supplies	7,500	7,500	7,467	33
Small items of equipment	-	-	11,002	(11,002)
Uniforms	3,500	3,500	1,763	1,737
Gas and fuel	25,000	25,000	25,478	(478)
Insurance	10,000	10,000	7,659	2,341
Office equipment rental	7,000	7,000	1,229	5,771
Bank charges	-	-	297	(297)
Bad debts	3,000	3,000	1,610	1,390
Capital outlay	300,000	330,000	206,400	123,600
Total expenditures	1,201,659	1,231,659	1,166,917	64,742
Excess (deficiency) of revenues over (under) expenditures	(386,659)	(416,659)	(145,210)	271,449
Other financing sources (uses)				
Insurance recoveries	-	-	-	-
Gain on sale of equipment	-	-	-	-
Total Other financing sources (uses)	-	-	-	-
Net Change In Fund Balance	(386,659)	(416,659)	(145,210)	271,449
Fund Balance at Beginning of Year	613,276	613,276	613,276	-
Fund Balance at End of Year	$ 226,617	$ 196,617	$ 468,066	$ 271,449

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
DRUG FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Fines and fees				
Drug fines	$ 2,000	$ 2,000	$ 3,352	$ 1,352
Forfeitures	-	-	5,063	5,063
Sale of confiscated property	2,000	2,000	-	(2,000)
Total revenues	4,000	4,000	8,415	4,415
Expenditures				
Public safety				
Training	2,500	2,500	-	2,500
K-9 expenses	-	-	4,098	(4,098)
Operating supplies	500	500	4,462	(3,962)
Equipment	25,000	40,400	36,570	3,830
Total expenditures	28,000	43,400	45,130	(1,730)
Excess (deficiency) of revenues over (under) expenditures	(24,000)	(39,400)	(36,715)	6,145
Other financing sources (uses)				
Transfer to other fund	(15,000)	(15,000)	-	15,000
Total Other financing sources (uses)	(15,000)	(15,000)	-	15,000
Net Change In Fund Balance	(39,000)	(54,400)	(36,715)	21,145
Fund Balance at Beginning of Year	97,010	97,010	97,010	-
Fund Balance at End of Year	$ 58,010	$ 42,610	$ 60,295	$ 17,685

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
E-CITATION FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Fines and fees				
Citation fees	$ -	$ -	$ 2,745	$ 2,745
Other revenues				
Interest	-	-	4	4
Total revenues	-	-	2,749	2,749
Expenditures				
Public safety	-	-	-	-
Other financing sources (uses)				
Transfer in	-	-	-	-
Total Other financing sources (uses)	-	-	-	-
Net Change In Fund Balance	-	-	2,749	2,749
Fund Balance at Beginning of Year	6,161	6,161	6,161	-
Fund Balance at End of Year	$ 6,161	$ 6,161	$ 8,910	$ 2,749

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
GOLF COURSE FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Charges for services				
Recreational fees	$ 342,400	$ 342,400	$ 359,428	$ 17,028
Other revenues				
Miscellaneous income	-	-	-	-
Total revenues	342,400	342,400	359,428	17,028
Expenditures				
Salaries	285,914	285,914	260,332	25,582
Payroll taxes	21,872	21,872	19,688	2,184
Employee insurance	40,762	40,762	52,113	(11,351)
Retirement	12,165	12,165	10,922	1,243
Workers compensation	2,000	2,000	3,868	(1,868)
Advertising	500	500	1,000	(500)
Utilities	10,000	10,000	10,305	(305)
Telephone	6,500	6,500	6,294	206
Technology	1,000	1,000	206	794
Physicals	-	-	307	(307)
Audit fees	-	-	1,300	(1,300)
Professional services	12,500	12,500	14,225	(1,725)
Other professional services	-	-	-	-
Repair system	1,500	1,500	624	876
Repairs and maintenance - vehicles	1,000	1,000	219	781
Repairs and maintenance - equipment	8,500	13,500	14,365	(865)
Building maintenance	10,000	10,000	6,369	3,631
Office supplies	500	500	-	500
Operating supplies	7,000	7,000	4,894	2,106
Chemicals and supplie	20,000	30,000	28,856	1,144
Small items of equipment	8,000	8,000	224	7,776
Supplies for resale	30,000	30,000	42,786	(12,786)
Uniforms	1,500	1,500	1,075	425
Gas and fuel	6,500	6,500	8,265	(1,765)
Concessions	6,000	6,000	8,108	(2,108)
Insurance	3,500	3,500	4,381	(881)
Equipment rental	-	-	-	-
Bank charges	1,300	1,300	6,905	(5,605)
Capital outlay	65,200	94,200	88,096	6,104
Total expenditures	563,713	607,713	595,727	11,986
Excess (deficiency) of revenues over (under) expenditures	(221,313)	(265,313)	(236,299)	29,014
Other financing sources (uses)				
Transfer in	246,000	271,000	271,000	-
Total Other financing sources (uses)	246,000	271,000	271,000	-
Net Change In Fund Balance	24,687	5,687	34,701	29,014
Fund Balance at Beginning of Year	27,710	27,710	27,710	-
Fund Balance at End of Year	$ 52,397	$ 33,397	$ 62,411	$ 29,014

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
IMPACT FEES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

Revenues	**Original Budget**	**Final Budget**	**Actual**	**Variance from Final Budget Positive (Negative)**
Fines, fees and forfeitures				
Fees	$ 42,500	$ 77,500	$ 124,082	$ 46,582
Other revenues				
Interest income	-	-	26,600	26,600
Total revenues	42,500	77,500	150,682	73,182
Expenditures				
Small equipment expense	-	20,000	15,448	4,552
Capital outlay	76,000	223,000	217,909	5,091
Total expenditures	76,000	243,000	233,357	9,643
Net Change In Fund Balance	(33,500)	(165,500)	(82,675)	82,825
Fund Balance at Beginning of Year	771,642	771,642	771,642	-
Fund Balance at End of Year	$ 738,142	$ 606,142	$ 688,967	$ 82,825

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
DEBT SERVICE FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
YEAR ENDED JUNE 30, 2024

	Original Budget	Final Budget	Actual	Variance from Final Budget Positive (Negative)
Revenues				
Other revenues				
Interest	$ -	$ -	$ 243	$ 243
Total revenues	-	-	243	243
Expenditures				
Principal payments	331,342	499,342	497,000	2,342
Interest payments	387,887	387,887	342,543	45,344
Total expenditures	719,229	887,229	839,543	47,686
Excess (deficiency) of revenues over (under) expenditures	(719,229)	(887,229)	(839,300)	47,929
Other financing sources (uses)				
Transfer in	719,229	887,229	887,229	-
Total Other financing sources (uses)	719,229	887,229	887,229	-
Net Change In Fund Balance	-	-	47,929	47,929
Fund Balance at Beginning of Year	10,707	10,707	10,707	-
Fund Balance at End of Year	$ 10,707	$ 10,707	$ 58,636	$ 47,929

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS - GOVERNMENTAL FUNDS
JUNE 30, 2024

Fiscal Year	General Obligation Refunding Bonds - Series 2015		General Obligation Refunding Bonds - Series 2020		Total	
	Principal	Interest	Principal	Interest	Principal	Interest
2025	$ 200,000	$ 199,200	$ 80,000	$ 114,094	$ 280,000	$ 313,294
2026	205,000	193,700	85,000	110,094	290,000	303,794
2027	215,000	188,062	90,000	105,844	305,000	293,906
2028	220,000	181,613	95,000	101,344	315,000	282,957
2029	225,000	175,012	100,000	96,594	325,000	271,606
2030	230,000	168,263	105,000	91,594	335,000	259,857
2031	240,000	161,362	110,000	86,344	350,000	247,706
2032	245,000	154,163	115,000	80,844	360,000	235,007
2033	255,000	146,812	120,000	76,244	375,000	223,056
2034	260,000	139,163	120,000	72,644	380,000	211,807
2035	270,000	130,062	125,000	69,044	395,000	199,106
2036	280,000	120,613	130,000	65,919	410,000	186,532
2037	290,000	110,812	130,000	62,669	420,000	173,481
2038	300,000	100,663	135,000	59,256	435,000	159,919
2039	310,000	90,162	140,000	55,713	450,000	145,875
2040	320,000	79,313	140,000	51,863	460,000	131,176
2041	335,000	67,312	145,000	48,013	480,000	115,325
2042	345,000	54,750	150,000	44,025	495,000	98,775
2043	360,000	41,813	155,000	39,900	515,000	81,713
2044	370,000	28,312	160,000	35,638	530,000	63,950
2045	385,000	14,438	165,000	31,238	550,000	45,676
2046	-	-	165,000	26,700	165,000	26,700
2047	-	-	170,000	21,750	170,000	21,750
2048	-	-	180,000	16,650	180,000	16,650
2049	-	-	185,000	11,250	185,000	11,250
2050	-	-	190,000	5,700	190,000	5,700
	$ 5,860,000	$ 2,545,600	$ 3,485,000	$ 1,580,968	$ 9,345,000	$ 4,126,568

Note: The City is drawing on a Government Loan Program Bond, Series 2022 as of June 30, 2024. They have drawn $925,383 and paid principal of $227,000 as of 6/30/2024.

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS - ENTERPRISE FUNDS
JUNE 30, 2024

Fiscal	Water and Sewer System Revenue Refunding Bonds Series 2016		Water and Sewer System Revenue Refunding Bonds Series 2020		State Revolving Loan Fund 2006 Loan #37		Capital Outlay Note Jet Vac Truck #76		Total	
Year	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2025	$ 480,000	$ 385,218	$ 405,000	$ 489,125	$ 70,068	$ 8,676	$ 47,400	$ 637	$ 1,002,468	$ 883,656
2026	490,000	373,218	415,000	481,025	71,268	7,476	-	-	976,268	861,719
2027	500,000	360,969	420,000	472,725	72,492	6,252	-	-	992,492	839,946
2028	530,000	340,969	425,000	468,525	73,728	5,016	-	-	1,028,728	814,510
2029	545,000	319,769	430,000	464,275	74,988	3,756	-	-	1,049,988	787,800
2030	515,000	297,968	440,000	455,675	76,272	2,472	-	-	1,031,272	756,115
2031	535,000	277,368	450,000	442,475	77,580	1,164	-	-	1,062,580	721,007
2032	555,000	255,969	470,000	424,475	26,337	93	-	-	1,051,337	680,537
2033	575,000	239,319	490,000	405,675	-	-	-	-	1,065,000	644,994
2034	590,000	222,069	510,000	386,075	-	-	-	-	1,100,000	608,144
2035	605,000	204,369	530,000	365,675	-	-	-	-	1,135,000	570,044
2036	635,000	180,169	550,000	344,475	-	-	-	-	1,185,000	524,644
2037	435,000	154,769	570,000	322,475	-	-	-	-	1,005,000	477,244
2038	455,000	137,369	595,000	299,675	-	-	-	-	1,050,000	437,044
2039	470,000	119,168	620,000	275,875	-	-	-	-	1,090,000	395,043
2040	490,000	100,368	640,000	251,075	-	-	-	-	1,130,000	351,443
2041	370,000	80,769	670,000	225,475	-	-	-	-	1,040,000	306,244
2042	385,000	65,968	690,000	205,375	-	-	-	-	1,075,000	271,343
2043	400,000	53,938	710,000	184,675	-	-	-	-	1,110,000	238,613
2044	410,000	41,438	730,000	163,375	-	-	-	-	1,140,000	204,813
2045	425,000	28,112	750,000	141,475	-	-	-	-	1,175,000	169,587
2046	440,000	14,300	775,000	118,675	-	-	-	-	1,215,000	132,975
2047	-	-	795,000	99,600	-	-	-	-	795,000	99,600
2048	-	-	820,000	75,750	-	-	-	-	820,000	75,750
2049	-	-	840,000	51,150	-	-	-	-	840,000	51,150
2050	-	-	865,000	25,950	-	-	-	-	865,000	25,950
	$ 10,835,000	$ 4,253,573	$ 15,605,000	$ 7,640,800	$ 542,733	$ 34,905	$ 47,400	$ 637	$ 27,030,133	$ 11,929,915

Note: The Town is drawing on a TN Municipal Bond, City of Clarksville Series 2023
as of June 30, 2024. The have drawn $51,000 as of June 30, 2024.

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN LONG-TERM DEBT BY INDIVIDUAL ISSUE
JUNE 30, 2024

Description of Indebtedness		Original Amount of Issue	Interest Rate	Date of Issue	Last Maturity Date	Outstanding 7/1/2023	Issued During Period	Paid and/or Matured During Period	Refunding During Period	Outstanding 6/30/2024
Governmental Activities										
Capital Outlay Notes										
Payable through General Fund										
TN Municpal Bond Fund - City of Clarksville Series 2022	Note 1	6,000,000	2.85%	2022	6/1/2043	$ 51,000	$ 874,383	$ 227,000	$ -	$ 698,383
Total Notes Payable through the General Fund						$ 51,000	$ 874,383	$ 227,000	$ -	$ 698,383
Bonds Payable										
General Obligation Refunding Bonds, Series 2014		$ 7,410,000	3.50%	2015	4/1/2045	$ 6,055,000	$ -	$ 195,000	$ -	$ 5,860,000
General Obligation Refunding Bonds, Series 2020		3,780,000	2.625-4.00%	2020	6/30/2050	3,560,000	-	75,000	-	3,485,000
Total Bonds Payable						$ 9,615,000	$ -	$ 270,000	$ -	$ 9,345,000
Business-Type Activities										
Capital Outlay Notes										
Payable through Water and Sewer Fund										
Jet Vac Truck #76		$ 237,000	2.48%	2020	6/15/2025	$ 94,800	$ -	$ 47,400	$ -	$ 47,400
TN Municpal Bond Fund - City of Clarksville Series 2023	Note 1	$ 5,000,000	4.35%	2023	4/1/2048	51,000	-	-	-	51,000
Total Notes Payable through the Water an Sewer Fund						$ 145,800	$ -	$ 47,400	$ -	$ 98,400
BONDS PAYABLE										
Payable through Water and Sewer Fund										
Water and Sewer System Revenue Refunding Bonds, Series 2016		$ 14,405,000	3.00%	2019	4/1/2046	$ 11,310,000	$ -	$ 475,000	$ -	$ 10,835,000
Water and Sewer System Revenue Refunding Bonds, Series 2020		16,930,000	2.63%	2021	4/1/2050	16,000,000	-	395,000	-	15,605,000
Total Bonds Payable through Water and Sewer Fund						$ 27,310,000	$ -	$ 870,000	$ -	$ 26,440,000
OTHER LOANS PAYABLE										
Payable through Water and Sewer Fund										
State Revolving Loan Fund, 2006		$ 1,500,000	1.70%	2012	10/1/2031	$ 611,613	$ -	$ 68,880	$ -	$ 542,733
Total Other Loans Payable through Water and Sewer Fund						$ 611,613	$ -	$ 68,880	$ -	$ 542,733

Note 1 - These bonds are still being drawn on. The Town is making payments according to the amortization schedule.

See Independent Auditor's Report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN PROPERTY TAXES RECEIVABLE AND DELINQUENT AMOUNTS FILED WITH CHANCERY COURT
FOR THE YEAR ENDED JUN E30, 2024

Tax Year	Assessment	Tax Rate	Property Tax Receivable Balance June 30, 2023	Taxes Levied	Releases and Adjustments	Collections	Allowance For Uncollectibles	Outstanding Taxes Ending
2024	$ 6,413,656	***	$ -	$ 6,413,656	$ -	$ -	$ -	$ 6,413,656
2023	5,235,047	**	4,894,561	340,486	(2,424)	(5,082,066)	-	150,557
2022	4,422,553	1.06	188,161	-	161	(146,937)	(2,069)	39,316
2021	4,801,408	1.06	30,577	-	240	(6,112)	(3,706)	20,999
2020	4,852,413	1.06	18,856	-	356	(4,112)	(15,100)	-
2019	4,692,284	1.06	33,768	-	-	(2,179)	(31,589)	-
2018	3,982,140	1.21	12,902	-	-	(85)	(12,817)	-
2017	3,982,140	1.21	12,067	-	-	(120)	(11,947)	-
2016	3,985,892	1.21	12,371	-	-	(639)	(11,732)	-
2015	3,882,467	1.21	5,732	-	-	(60)	(5,672)	-
2014	2,679,618	1.21	4,529	-	(4,468)	(61)	-	-
2013	3,761,856	1.18	5,833	-	(5,780)	(53)	-	-
2012	3,310,126	*	7,871	-	(7,771)	(100)	-	-
			$ 5,227,228	$ 6,754,142	$ (17,262)	$ (160,458)	$ (94,632)	$ 6,624,528

* Tax rate for Roberton County $1.13 and Sumner County $1.10

** Tax rate for Roberton County $0.81 and Sumner County $1.16

*** Tax rate for Roberton County $0.90 and Sumner County $0.90

Notes: All uncollectible taxes for years prior to March 1, 2022 have been turned over to Chancery Court for collection.

See Independent Auditor's Report.

CITY OF PORTLAND
SCHEDULE OF UTILITY RATES AND NUMBER OF CUSTOMERS
JUNE 30, 2024

Water Customer Rates

Residential	Inside City Limits	Outside City Limits
Water Meter Base fee	5.00	5.00
First 2,500 gallons	15.43	32.32
Per 1,000 gallons over 2,500	6.17	12.93
Commercial		
Water Meter Base fee	18.00	18.00
First 2,500 gallons	20.00	34.56
Per 1,000 gallons over 2,500	8.00	13.83
Industrial		
Water Meter Base fee	18.00	18.00
First 2,500 gallons	24.27	37.08
Per 1,000 gallons over 2,500	9.70	14.83

Sewer Customer Rates

Residential	Inside City Limits	Outside City Limits
First 2,500 gallons	34.79	45.08
Per 1,000 gallons over 2,500	13.92	18.03
Commercial		
First 2,500 gallons	41.60	59.05
Per 1,000 gallons over 2,500	16.64	23.62
Industrial		
First 2,500 gallons	45.08	63.95
Per 1,000 gallons over 2,500	18.03	25.59

Solid Waste (Sanitation) Customer Rates

Residential	
1 or 2 Trash Carts	23.50
3 or 4 Trash Carts	47.00
Commercial	
1 or 2 Trash Carts	29.50
3 Trash Carts	44.00
4 Trash Carts	58.50
4 Yard Dumpster	225.00

Natural Gas Customer Rates

Residential - Inside City Limits	
Service Fee	6.00
PTA Rate	0.28
Cost of Gas Rate	0.37
Residential - Outside City Limits	
Service Fee	10.00
PTA Rate	0.35
Cost of Gas Rate	0.37
Commercial - Inside/Outside City Limits	
Service Fee	35.00
PTA Rate	0.35
Cost of Gas Rate	0.37
Industrial - Inside/Outside City Limits	
Service Fee	250.00

Usage	PTA Rate	Cost of Gas
0-10,000	0.32	0.37
10,001-30,000	0.25	0.37
30,001-100,000	0.13	0.37
100,001 and up	0.11	0.37

Add PTA Rate and cost of gas together. Then multiply by number of CCF on customer's reading and add service fee charge to that total.

Number of Customers

Service	June 30, 2024
Solid Waste	4,860
Water	8,315
Sewer	4,630
Natural Gas	5,304

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS AND STATE FINANCIAL ASSISTANCE
FOR THE YEAR ENDED JUNE 30, 2024

Federal Grantor/Pass-Through Grantor	Progam Name	Federal Assistance Listing Number	Pass-Through Entity Identifying Number		Expenditures
Federal Awards					
U.S. Dept. of Homeland Security	Assistance to Firefighers Grant	97.044	EMW-2022-FG-05147		$ 22,377
U.S. Department of Transportation/TN Dept. of Transportation, Aeronautics Division	Airport Layout Plan Update	20.106	AERO-23-313-00		108,971
U.S. Department of Transportation/Tennessee Department of Transportation	Highway Planning and Construction/CSX Railroad Main Street	20.205	HSIP-ROOS(431)		18,135.00
U.S. Department of Transportation/Tennessee Department of Transportation	Highway Planning and Construction/CSX Railroad East Market	20.205	HSIP-ROOS(432)		21,145.00
U.S. Department of Transportation/Tennessee Department of Transportation	Highway Planning and Construction/SR-109 From SR-52 to College St	20.205	83LPLM-F3-139		17,727.00
U.S. Department of Transportation/Tennessee Department of Transportation	Highway Planning and Construction/Portand Pedestrian Connector Project	20.205	83LPLM-F3-146		19,941
U.S. Department of Transportation/Tennessee Department of Transportation	Highway Planning and Construction/Kirby Road	20.205	83LPLM-F3-102		28,948
Total 20.205					105,896
U.S. Department of Safety & Homeland Security/Tennessee Department of Safety & Homeland Security	State and Community Highway Safety High Visibility Enforcement of Tennessee Traffic Safety Laws	20.600	Z23THS230		4,973
U.S. Department of Safety & Homeland Security/Tennessee Department of Safety & Homeland Security	State and Community Highway Safety High Visibility Enforcement of Tennessee Traffic Safety Laws	20.600	Z24THS230		575
Total 20.600					5,548
U.S. Department of Treasury Assistance	Coronavirus State and Local Fiscal Recover Funds - Water Resource/Infrastructure Resilence F	21.027	20-1892-0-1-806		77,310
U.S. Department of Homeland Security/Tennessee Department of Emergency Management Agency	Disaster Grants -Public Assistance Program	97.036	FEMA-4712-VR-TN		312,535
TOTAL FEDERAL AWARDS					$ 632,637
State Financial Assistance					
TN Dept. of Transportation, Aeronautics Division	FY23 Airport Maintenance	N/A	AERM-24-150-00		$ 20,000
TN Dept of Transportation, Aeronautics Division	Direct Appropriation	N/A	N/A		286,013
TN Dept. of Transportation, Aeronautics Division	Airport Layout Plan Update	N/A	AERO-23-313-00		6,055
TN Dept. of Transportation, Aeronautics Division	Land Acquistion - Appraisal/Environmental	N/A	AERO-23-215-00		39,395
U.S. Department of Homeland Security/Tennessee Department of Emergency Management Agency	Disaster Grants -Public Assistance Program	N/A	N/A		48,833
State of Tennessee Office of Criminal Justice Programs	VCIF, Formula Based Grant	N/A	N/A		93,243
State of Tennessee Department of Environment and Conservation	Local Parks and Recreation Fund	N/A	N/A		16,075
TOTAL STATE AWARDS					$ 460,781

Note 1 - Basis of Presentation: The schedule is presented using the modified accrual basis of accounting.

Note 2 - Indirect Cost Rate: The City of Portland, Tennessee has elected to not use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

Note 3 - The City of Portland, Tennessee did not have any funds passed through to subrecipients.

Note 4 - The City has an outstanding loan of $542,733 obtained through the State Revolving Loan Fund (SRLF) in 2006. The loan is presented in detail elsewhere in the supplementary and other information section of this report.

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INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Honorable Mayor
and Board of Aldermen
City of Portland, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of City of Portland, Tennessee, as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise City of Portland, Tennessee's basic financial statements and have issued our report thereon dated December 13, 2024.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered City of Portland, Tennessee's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of City of Portland, Tennessee's internal control. Accordingly, we do not express an opinion on the effectiveness of City of Portland, Tennessee's internal control.

Our consideration of internal control was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as described in the accompanying schedule of findings and questioned costs, we identified certain deficiencies in internal control that we consider to be material weaknesses and significant deficiencies.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. We consider the deficiencies described below to be material weaknesses.

2024 – 001 Financial Statements Materially Misstated Before Audit Adjustments

Condition: There were various transactions which were misclassified and adjustments were required to prevent materially misstated financial statements.

Criteria: Generally accepted accounting principles require the City to have adequate internal controls over the maintenance of accounting records and employ an individual who has necessary skills, knowledge, and experience to oversee the accounting records.

Cause: Lack of knowledgeable accounting staff.

Effect: Management will take steps to ensure that general ledger balances are properly stated before closing the books. We will record all financial information accurately and will strive to improve our accounting and financial reporting.

Management's Response:

2024 – 002 Inventory/Workorders

Condition: The City does not have an adequate system in place to monitor, track, and provide a full accounting of all inventory transactions. They are not maintaining workorders.

Criteria: Proper internal controls should be in place and should include procedures so that supplies received are secure, inventoried and reported accurately.

Cause: Oversight.

Effect: Lack of controls over inventory and financial statements misstated.

Management's Response: The City has purchased a materials management program. Employees are being trained on the software that will monitor, track, and account for all inventory when received and when materials are used. The software is being used but was not completely operational at 6/30/2024.

A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance. We consider the deficiency described below to be a significant deficiency.

2024 – 003 Purchase Orders

Condition: The City had some purchase orders that were issued after the fact and some disbursements were missing purchase orders

Criteria: Follow the City's purchasing policy.

Cause: Oversight.

Effect: Lack of controls over purchasing and violated the City's purchasing policy.

Recommendation: Follow the City's purchasing policy

Management's Response: Management strives to ensure that all purchasing policies and procedures are followed. Management will train department on purchasing policies and procedures.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether City of Portland, Tennessee's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that is required to be reported under *Government Auditing Standards*.

City of Portland, Tennessee's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City of Portland, Tennessee's response to the findings identified in our audit and described in the accompanying schedule of findings and questioned costs. City of Portland, Tennessee's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Wickberg Accounting, PLLC

Lewisburg, Tennessee
December 13, 2024

CITY OF PORTLAND, TENNESSEE
SUMMARY SCHEDULE OF PRIOR YEAR FINDINGS AND QUESTIONED COSTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024

Financial Statement Findings

Prior Year Finding Number	**Finding Title**	**Status/Current Year Finding Number**
2023-001	Financial Statements Materially Misstated Before Audit Adjustments (original finding #2021-002)	Repeated/2024-001
2023-002	Purchase Orders (original finding #2022-002)	Repeated/2024-003
2023-003	Inventory/Workorders (original finding #2022-003)	Repeated/2024-002
2023-004	No Bids (original finding #2023-004)	Corrected

Federal Award Findings and Questioned Costs

Prior Year Finding Number	**Finding Title**	**Status/Current Year Finding Number**
SAF 2023-001	Contract AERO-22-382, Section D.5 Subcontracting (original finding #2023-001)	Corrected

CITY OF PORTLAND, TN

Proud, Progressive Portland

Home of the STRAWBERRY FESTIVAL

100 South Russell, Portland, Tennessee 37148
615-325-6776

MANAGEMENT'S CORRECTIVE ACTION PLAN

City of Portland respectfully submits the following corrective action plan for the year ended June 30, 2024.

Name and address of independent public accounting firm:

Wickberg Accounting, PLLC
111 E Commerce Street
Lewisburg, Tennessee 37091

Responsible officials for corrective action:

Rachel Slusser, CMFO

Signed: Rachel Slusser

Audit Period:
June 30, 2024

Section II – Financial Statement Findings

2024 – 001 Financial Statements Materially Misstated Before Audit Adjustments

Corrective action planned

Management will take steps to ensure that general ledger balances are properly stated before closing the books. We will record all financial information accurately and will strive to improve our accounting and financial reporting.

Anticipated completion date

June 30, 2025

2024 – 002 Inventory/Workorders

Corrective action planned

The City has purchased a materials management program. Employees are being trained on the software that will monitor, track, and account for all inventory when received and when materials are used. Software is being used but was not completely operational at 06/30/24.

Anticipated completion date

June 30, 2025

2024 – 003 Purchase Orders

Corrective action planned

Management strives to ensure that all purchasing policies and procedures are followed. Management will continue to train departments on purchasing policies and procedures.

Anticipated completion date

June 30, 2025